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SM/23/158

June 29, 2023

To: Members of the Executive Board

From: The Secretary

Subject: **Grenada—Staff Report for the 2023 Article IV Consultation**

Board Action:	Executive Directors' consideration on a lapse of time basis as Management has determined that it meets the established criteria for Article IV consultations as set out in Board Decision No. 15207 (12/74): (i) there are no acute or significant risks, or general policy issues requiring Board discussion; (ii) policies or circumstances are unlikely to have significant regional or global impact in the near term (whereby near term is understood to mean a time period of one year); and (iii) the use of Fund resources is not under discussion or anticipated.
Deadline to Request Board meeting:	Thursday, July 13, 2023 12:00 (noon)
Proposed Decision Deemed Approved:	Monday, July 17, 2023
Provisional Board Meeting Date: (if requested)	Tuesday, July 18, 2023
Proposed Decision:	Page 23
Publication:	Not yet decided* Press Release will be based on the staff appraisal if there is no request for a Board discussion, as attached.

***At the time of circulation of this paper to the Board, the authorities have indicated that they need more time to consider whether they will consent to the Fund's publication of this paper. Publication will only proceed upon the receipt by the Fund of the member's explicit consent.**

Questions:

Document Transmittal
in the Absence of
an Objection and in
accordance with
Board policy:

Ms. Lin, WHD (ext. 37177)

After Board Consideration—Caribbean Development Bank, European Investment Bank, Food and Agriculture Organization, United Nations Development Programme, United Nations Economic Commission for Latin America and the Caribbean, World Trade Organization



GRENADA

STAFF REPORT FOR THE 2023 ARTICLE IV CONSULTATION

June 28, 2023

KEY ISSUES

Context. Grenada is simultaneously navigating the recovery from the pandemic and a rise in energy and food prices. Growth is estimated to have reached 6.4 percent in 2022, driven by a tourism rebound and private and public construction projects. Inflation rose from 1.9 percent at end-2021 to 2.9 percent by end-2022. The authorities' policy response—facilitated by the build-up of fiscal buffers over the past decade—dampened the pass through from rising global food and fuel prices. Public debt is now back on a downward trend. The financial sector is well-capitalized and liquid although non-performing loans of credit unions have risen.

Outlook and Risks. The economy is projected to grow by 3.9 percent in 2023, led by activity in tourism-related sectors. Inflation is expected to reach 3.2 percent by end-2023. Downside risks include an economic slowdown of key tourist source markets, renewed increases in global food and fuel prices, a natural disaster, or an abrupt decline in revenues from the Citizenship-by-Investment (CBI) program. On the upside, strong demand for services in advanced economies could make for even stronger tourism inflows and investment projects may have a more frontloaded impact on the economy.

Policy Advice. To preserve fiscal credibility, the 2023 budget appropriately commits to returning to the fiscal rules. Spending on untargeted relief measures should decline as the initial food and fuel price spike dissipates. Steps should be taken to structurally improve the effectiveness and targeting of social assistance programs. To support the need for critical spending, particularly on building climate resilience, public financial management should aim to increase public expenditure efficiency. The planned amendment of the Fiscal Responsibility Framework should simplify the rules, make the medium-term fiscal framework more effective in providing forward guidance on fiscal policy, and enhance accountability and oversight. Regulation and supervision of credit unions need strengthening, and the vetting and approval process used for the CBI program should continue to be improved. A deeper focus on addressing structural challenges (which reflect, in part, longstanding capacity constraints) is needed to raise competitiveness, improve gender equality, accelerate the transition towards renewable energy, and build disaster resilience.

GRENADA

Approved By
Nigel Chalk (WHD)
and **Jarkko Turunen (SPR)**

The mission team comprised Huidan Lin (head), Weicheng Lian, Li Lin, and Peter Nagle, with assistance from Huilin Wang and Millena Machado Damasio (all WHD). Discussions were held during May 15–26, 2023, in Saint George’s, Grenada. The team met with Honorable Prime Minister Dickon Mitchell, Minister of Finance Dennis Cornwall, Permanent Secretary of Ministry of Finance Mike Sylvester, other senior government officials, the Leader of His Majesty’s Opposition, as well as private sector, labor union, and civil society representatives. Latoya Smith (OED), as well as Donna Kaidou-Jeffrey (Caribbean Development Bank), Leon Bullen (Eastern Caribbean Central Bank), and Vasilis Tsiropoulos (World Bank) joined some of the meetings. Feargal O’Brolchain (OED) attended the concluding meetings. In addition to the mission team, Camila Perez Marulanda (WHD) contributed to the Staff Report.

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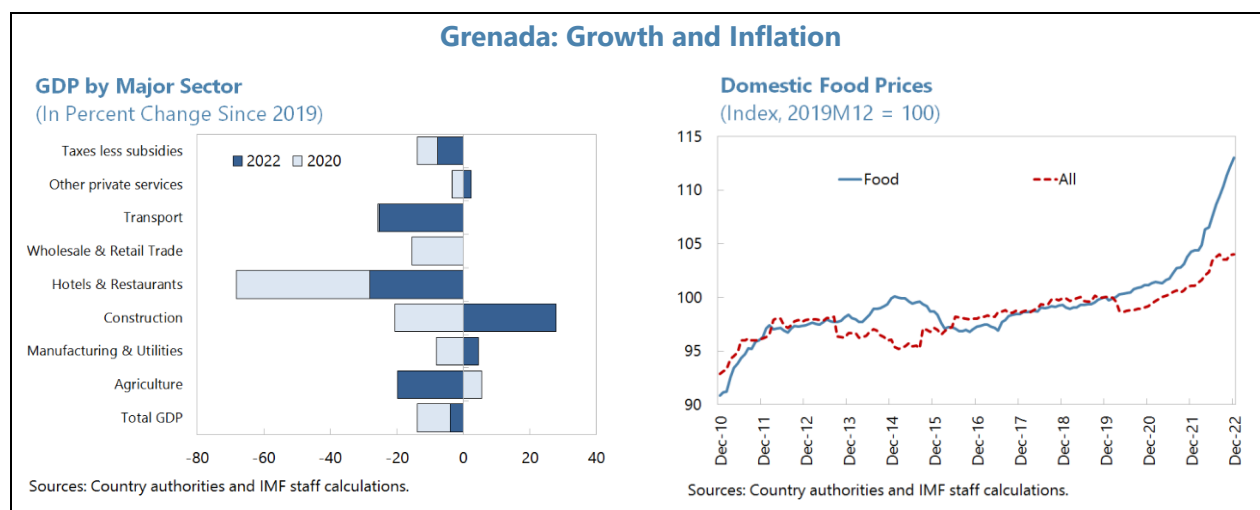
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RECENT DEVELOPMENTS

1. Grenada is navigating the recovery from the pandemic and a rise in global energy and food prices. After contracting by 13.8 percent in 2020, the economy recovered in 2021 and 2022. The recovery has been supported by a strong rebound of tourism (especially in 2022) and construction activity. Agricultural production, though, fell by nearly one-quarter in 2022. Public debt has returned to a downward trend.¹

2. An upswing in inflation has been dampened by price caps and reductions in indirect taxes. Inflation rose to 2.9 percent by end-2022 but the pass through from global food and fuel prices was lessened by a cap on fuel prices and reductions in the VAT rates on electricity and some food items. Nevertheless, a strong increase in food prices suggests that inflation faced by poorer households may be somewhat higher than the headline inflation. Real wages are below 2019 levels in most sectors.

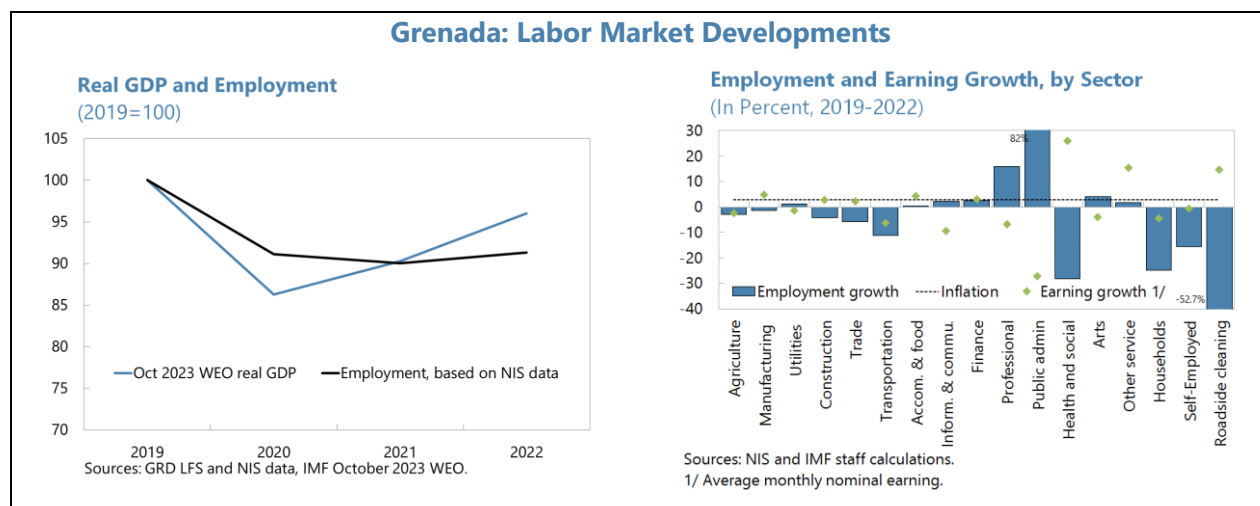


3. Fiscal buffers have allowed the authorities to respond swiftly to the COVID and commodity price shocks. Public debt fell from nearly 100 percent of GDP in 2014 to below 60 percent of GDP in 2019. This provided the fiscal space needed to cushion the impact of the pandemic and respond to higher food and fuel prices. Buffers now need to be restored to insulate against potential future shocks, including those arising from the impact of climate change.

4. A new administration which took office in June 2022 is focusing on creating a sustainable, equitable, and prosperous society. This involves an ambitious social agenda that encompasses food security, healthcare, education, employment, and the environment alongside a commitment to fiscal prudence and improved accountability.

¹ Public debt refers to central government and government guaranteed debt in this report, unless otherwise stated.

5. Stayover tourist arrivals averaged 87 percent of their 2019 level in 2022. Tourism activity is expected to fully return to pre-pandemic levels during 2023, but cruise ship arrivals are expected to underperform (most recently they have been around 55 percent of their 2019 level). Employment remains 9 percent below its level prior to the pandemic, with youth and female workers hardest hit.



6. The external position in 2022 is assessed to be weaker than the level implied by medium-term fundamentals and desirable policies. The current account deficit is estimated to have widened to 17.3 percent of GDP in 2022 (from 13.2 percent in 2021), as higher import bills more than offset the stronger services balance from the tourism rebound.² The capital account saw a slight drag from smaller Citizenship-by-Investment (CBI) flows to the National Transformation Fund (NTF) but this was more-than-offset by a stronger financial account from CBI flows to private investment (reflecting a lower threshold for the investment program). The REER depreciated by 3.5 percent in 2022, reflecting the faster upswing in trading partners' inflation. The currency remains modestly overvalued. The EBA-Lite-based current account gap of 3.4 percent of GDP underpins the assessment. International reserves are at adequate levels (Annex II).

7. The fiscal balance improved in 2022, supported by one-off revenues, leaving Grenada with some fiscal space. There was a 2.6 percent of GDP primary surplus in 2022 and public debt fell to 64.6 percent of GDP.

- *Expenditure.* A high court ruling in March resulted in retroactive pension payments of 2.3 percent of GDP. In addition, the government maintained several measures to limit the pass through from global food and fuel prices, although did raise the cap on fuel prices (the total cost of the relief

² The 2021 current account deficit (of 13.2 percent of GDP) is estimated to be smaller than envisaged in the 2022 Article IV (24.5 percent of GDP) due mainly to historical revisions that corrected personal services credits (e.g., online educational services) and financial services debits, following a CARTAC external sector statistics mission.

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measures, including tax expenditures, was 2.6 percent of GDP). There was restraint, however, on other current expenditures.

- *Revenue.* Tax revenues rose with the economic recovery. SOE dividends and CBI revenues were both strong.
- *Debt.* The authorities' medium-term debt strategy has been to obtain concessional financing from existing external creditors and extend the maturity of domestic debt.³ Based on the government's medium-term targets for the fiscal path, public debt is sustainable although Grenada is found to remain "in debt distress" due to its outstanding arrears (of 3.1 percent of GDP) to official bilateral creditors.⁴

8. Financial stability risks are moderate even with the tightening of global financial conditions and worsening credit quality. Private sector credit growth (especially bank loans) remains sluggish, due to the scarcity of profitable projects and lingering economic uncertainty. Loan moratoria introduced during COVID have been withdrawn. As regulatory forbearance was removed, credit union non-performing loans (NPLs) rose to 9.7 percent of total loans in 2022Q3 (before falling to 8.4 percent in 2022Q4). Bank NPLs edged up to 3.6 percent of loans in 2022Q4. Loan loss provisioning in the banks meets the ECCB's 60 percent requirement but is insufficient in credit unions. Capital adequacy ratios remain above the regulatory minimum (except for one credit union). Liquidity levels remain ample among banks but have deteriorated somewhat among credit unions. DCash (the pilot CBDC project launched in March 2021) has had a low uptake, in part due to challenges in building trust with the new technology and limited adoption by merchants and financial institutions.

Grenada: Financial Soundness Indicators (In Percent)										
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Credit Growth (year-on-year change)										
Banks	-5.7	-5.1	-3.8	-0.2	0.6	2.8	1.4	1.4	3.8	2.1
Credit Unions	11.3	9.8	16.5	13.8	19.8	11.6	12.1	8.5	7.9	5.8
Balance Sheet Structural Risk										
Deposit-to-loan ratio, Banks	130.6	145.8	163.5	170.0	167.8	170.5	177.0	181.6	182.1	182.6
Deposit-to-loan ratio, Credit Unions	104.1	114.9	115.9	116.0	112.5	112.2	114.6	114.0	114.9	120.1
FX liabilities / Total liabilities, Banks	7.0	7.2	8.8	8.7	11.1	12.4	14.2	13.7	15.6	16.4
FX loans / Total loans, Banks	4.2	4.4	5.3	4.8	4.9	8.8	10.9	11.5	11.3	14.5
Profitability, Return on Assets										
Banks	-1.9	-0.1	1.5	1.5	1.1	1.0	1.4	0.4	0.3	0.3
Credit Unions	1.8	1.8	1.6	1.8	1.4	2.1	2.4	1.4	1.5	1.2

³ This strategy is in line with commitments from development partners.

⁴ The authorities are making efforts to settle outstanding arrears to official bilateral creditors. In October 2022, the Government of Grenada reached a repayment agreement with the State of Libya on the US\$5 million in debt arrears. As of May 2023, the arrears to Algeria and Trinidad and Tobago amounted to US\$1.9 million and US\$35.7 million, respectively.

Grenada: Financial Soundness Indicators (Concluded)										
(In Percent)										
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Asset quality, Non-performing Loan Ratio										
Banks	13.8	14.6	10.0	6.7	3.9	2.4	2.2	2.2	2.9	3.6
Credit Unions	7.8	5.3	4.6	5.5	5.8	5.2	5.2	5.2	7.2	8.4
Provisions for Loan Losses to NPLs										
Banks	35.8	39.3	42.9	49.9	63.9	77.0	82.8	112.5	67.8	84.1
Credit Unions 1/	34.5	25.0	34.0	25.0	26.5	16.0	23.5	28.5	27.4	36.5
Liquidity Assets / Total Assets										
Banks	27.6	32.7	37.8	41.4	42.1	44.9	43.5	46.8	44.9	49.1
Credit Unions	10.3	14.2	16.6	14.2	13.2	16.5	19.3	18.1	17.5	16.9
Capital Adequacy Ratio 2/										
Banks	14.1	13.7	12.6	14.2	13.8	13.2	11.9	15.1	15.8	14.1
Credit Unions	11.4	10.8	11.0	11.3	11.5	11.6	11.6	12.3	12.9	12.0

Sources: ECCB and IMF Staff Calculations.
1/ Credit unions set provisioning according to IFRS 9 since 2018.
2/ For banks, capital adequacy ratio = regulatory capital / risk-weighted assets; for credit unions, regulatory capital/total assets.

OUTLOOK AND RISKS

9. The real economy is projected to expand at a slower pace of 3.9 percent in 2023. This reflects a moderation in activity of both tourism (following the strong rebound in 2022) and construction (as public investment scales back from a historic high level as fiscal rules become binding). Inflation is projected to reach 3.2 percent by end-2023. Inflation dynamics are underpinned by a slow pass-through of global prices to domestic prices as temporary relief measures are scaled back. The current account balance is expected to improve modestly to -14.8 percent of GDP reflecting rising tourism receipts. The primary fiscal balance will rise to 3.6 percent of GDP, putting public debt on a firm downward path to 55 percent of GDP by 2025.

10. The medium-term outlook is favorable. Tourism and public investment will remain key drivers for growth allowing output to gradually converge to potential by 2028 and remain around that level thereafter. CBI inflows are projected to taper off following the strong increases in 2022–23.⁵ The external position is projected to strengthen due to an ongoing growth of tourism, a terms-of-trade improvement, and implementation of structural reforms to enhance competitiveness.

11. There are important near-term downside risks. Risks primarily stem from an economic slowdown of key tourist source markets (the U.S. and U.K.). High import costs for construction materials could weigh on activity in the sector. A renewed upswing in commodity prices would also drag on growth, weaken the fiscal position, and threaten debt sustainability. A larger-than-expected

⁵ In February 2023, the U.S. passed legislation that requires people who earned Grenada citizenship through the CBI program to live in Grenada for three years before being eligible to apply for access to the U.S. through the E-2 investment visa. In March 2023, Grenada suspended processing new Russian and Belarusian applications. These developments are expected to negatively impact Grenada's CBI revenues in the coming years.

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decline in CBI inflows would have similar effects. Were any of these risks to materialize, policy responses should include targeted transfers to the vulnerable, reductions of lower priority spending, and more intense financial sector oversight. Grenada remains subject to more frequent and severe natural disasters, whose impact can be mitigated by the government's implementation of its [Disaster Resilience Strategy](#) (Annex III). An unfavorable result from the pending arbitration from the International Center for Settlement of Investment Disputes (ICSID) could negatively affect the fiscal position.⁶ Managing risks to debt sustainability will require a strong commitment to the fiscal responsibility framework (even as amendments to the framework proceed), further improvements in debt management, and implementing pension and national insurance scheme reforms. Upside risks include a stronger-than-expected tourism recovery, larger domestic spillovers from capital expenditures, a rapid implementation of reforms to improve competitiveness, and accelerating the move to renewable energy.

Authorities' Views

12. The authorities broadly agreed with staff's assessment about the outlook and risks. As the recovery matures, they expected growth to moderate but remain robust, with construction and tourism continuing to be the main drivers. They noted supply chain disruptions continue to weigh on activity in some sectors, and the high airfares pose a headwind to tourism. The authorities expect energy price increases to be persistent. They saw a slowdown in growth in key tourist source markets, notably the U.S. and U.K. as a key risk to the outlook.

POLICY DISCUSSIONS

A. Enhancing the Fiscal Framework

13. Fiscal rules will again provide a restraint on policy in 2023, implying a tightening of the fiscal stance. While a still-negative output gap could justify a slightly more accommodative fiscal stance, the return to the existing fiscal rules should be prioritized as a means to preserve fiscal credibility (after the application of the escape clause in 2020–22). The authorities' plans to raise the primary balance to 3.6 percent of GDP in 2023 is underpinned by modest reductions in public investment (from historically high levels), phasing out subsidies to food and fuel, and lowering pension payments. Tax changes are aimed at improving health and protecting the environment by raising excise taxes and increasing the price of electricity and water.⁷ The authorities' medium-term

⁶ In 2021, the ICSID accepted True Blue Development's request for arbitration with the government of Grenada over the construction of the Kimpton Kawana Bay Resort, which is a CBI approved project. The project remains unfinished.

⁷ Effective February 1, 2023, (i) increase the excise tax on alcohol from EC\$1.10 and EC\$4.40 per liter to EC\$1.50 and EC\$5.00 per liter, and the excise tax on cigarettes from 105 to 200 percent; (ii) increase the VAT on carbonated beverages, soft drinks/sodas, and drinks with high sugar content from 15 to 20 percent; (iii) reinstate the Environmental Levy (EVL) rate of EC\$5 and EC\$10 on electricity consumption of 100–150 kWh and over 150 kWh, respectively; (iv) apply an EVL of EC\$5 and EC\$10 on water use of 2801–5500 gallons and over 5500 gallons, respectively; (v) institute a "no-printing of more than 5 pages policy" across the Public Service.

fiscal framework (MTFF) projects tax revenues to grow slightly less than GDP but, compared to staff's projections, envisages higher CBI revenues that will be used to finance more capital spending.⁸

Grenada: Fiscal Projections (Percent of GDP)									
	2020	2021	2022	2023		2024		2025	
			Est.	Budget	IMF staff	MTFF	IMF staff	MTFF	IMF staff
Total revenue and grants	28.1	32.1	33.8	32.1	30.5	31.8	29.9	32.8	29.6
Tax revenues	22.1	21.0	22.2	21.2	22.4	21.2	22.0	21.2	21.9
Non-tax revenues ^{1/}	2.4	3.4	4.6	8.9	6.1	8.6	5.9	9.6	5.7
Grants ^{1/}	3.7	7.7	7.0	1.9	2.0	1.9	1.9	1.9	1.9
Total expenditure and net lending	26.9	31.7	32.8	30.3	28.4	29.7	28.0	29.0	27.6
Wages, salaries and allowances	9.3	9.8	8.2	8.9	9.0	8.7	8.7	8.4	8.4
Goods and services	4.7	5.2	4.0	4.5	4.0	4.4	4.0	4.3	4.0
Transfers and contribution to NIS	7.1	6.3	8.5	6.1	6.6	6.0	6.7	6.1	6.9
Capital expenditure	3.8	8.7	10.6	9.0	7.3	9.0	6.9	9.0	6.7
Interest payments	2.0	1.8	1.7	1.8	1.5	1.6	1.6	1.3	1.6
Primary balance	3.2	2.1	2.6	3.6	3.6	3.6	3.6	5.1	3.6
Overall balance	1.2	0.3	1.0	1.8	2.1	2.1	1.9	3.7	2.0

Sources: Grenadian authorities and IMF staff projections.
1/ Nonrefundable contributions under the CBI program that were used to finance investment projects are recorded under grants before 2023 but recorded under non-tax revenue starting 2023.

14. Social spending should be better targeted. The cap on freight costs has been rolled back, and VAT exemptions on electricity consumption have been reduced. Broad-based price controls on petroleum products and the reduction in the petroleum tax should be rolled back. Instead, these measures should be replaced with targeted transfers both to more efficiently use public resources and to ensure that demand responds to changes in relative prices. There is scope to improve the targeting and effectiveness of the Support for Education, Empowerment and Development (SEED) program as well as other social programs by improving the determination of eligibility, updating the poverty data with the results of the census and labor force surveys, strengthening the central beneficiary management system, and moving to cashless payments. Savings from better targeting of social programs should be used to increase the size of transfers to the vulnerable. The recently established permanent unemployment insurance program will also help improve the safety net and the program's design should be periodically reviewed as more information becomes available to ensure it does not discourage labor force participation or incentivize informality.

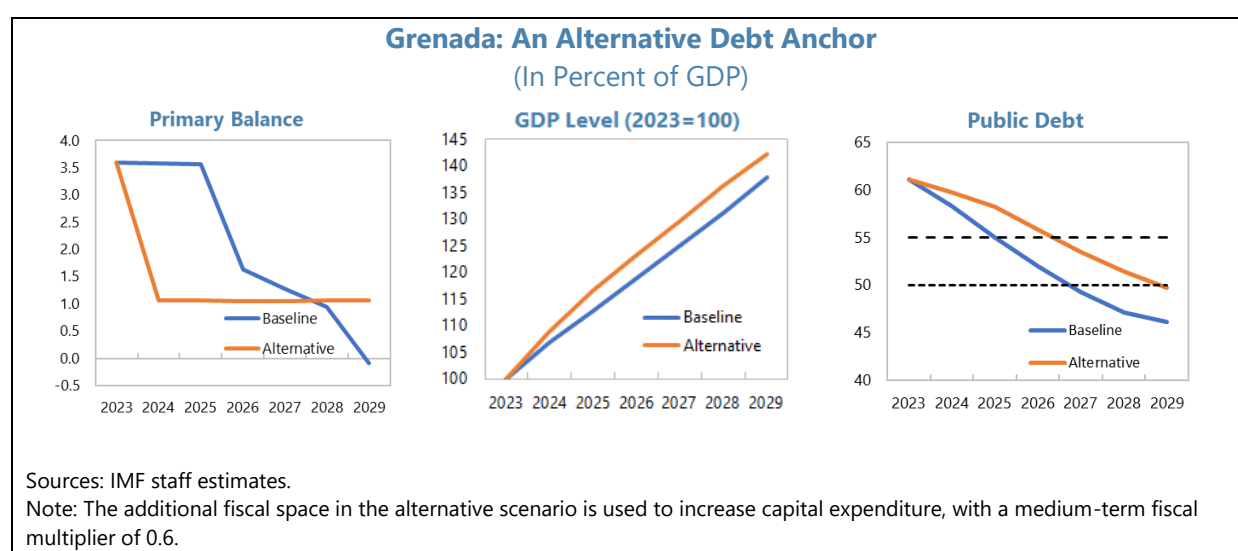
15. To better serve the country's development needs, the institutional framework for fiscal policies should be enhanced.⁹ A medium-term debt anchor should be included in the

⁸ To improve the transparency of the CBI program and align with the view of The IMF's Committee on Balance of Payments Statistics, the nonrefundable contribution to the CBI program is recorded as non-tax revenues, instead of grants, starting 2023.

⁹ Based on the IMF FAD TA report on amending Grenada's Fiscal Responsibility Act, 2023. Also see 2022 Article IV Staff Report (IMF Country Report No. 22/134) that explored options to amend the Fiscal Responsibility Act.

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revised Fiscal Responsibility Act (FRA) to underpin debt sustainability. This should be combined with an operational rule—i.e., a primary balance floor—that is established in the MTFF with stronger provisions for accountability and oversight. The date at which the debt target should be attained should be specified in the revised FRA and the coverage of public debt should be broadened to include the debt of all state-owned enterprises (SOEs) and statutory bodies, as well as PPP-related contingent liabilities. Under this broader definition, a debt anchor of 65 percent of GDP (or 50 percent of GDP for the central government and government guaranteed debt) seems reasonable with the target to be reached by 2030.¹⁰ This would imply a primary balance floor of 1.1 percent of GDP that would provide some space to increase capital expenditures. To build further buffers against severe natural disasters, the debt target could be set at a lower level (e.g., 60 percent of GDP) but reached a few years later (e.g., by 2032).¹¹ Beyond the debt target, the fiscal framework would benefit from:



- *A simpler set of fiscal rules.* Rules limiting primary expenditures and wage spending could be removed from the FRA to provide flexibility in spending and an incentive to mobilize revenues for more spending in key areas (including on public investment and social protection). The circumstances under which the escape clause can be applied could be more tightly circumscribed. Also, the framework could usefully provide some requirements on how fast debt should return to its medium-term path after a shock.
- *A more effective MTFF.* The three-year MTFF should play a central role in a more simplified fiscal framework as a way to provide clear forward guidance for future fiscal policy. The MTFF should: (i) set a primary balance floor for the current annual budget and for the two subsequent years that is consistent with reducing debt to the debt target, (ii) lay out multiyear revenue projections

¹⁰ This assumes the stock of SOE and statutory body debt plus PPP-related contingent liabilities remain at the end-2022 level of 15 percent of GDP, as estimated by the authorities.

¹¹ This would imply an earlier achievement of the ECCU's public debt (central government and government guaranteed debt) target of reaching 60 percent of GDP by 2035.

and expenditure ceilings that are consistent with the targeted primary balance, and (iii) provide an ex-post analysis of budgetary outcomes. A timeline for approval by the Cabinet, submission to Parliament, and publication of the MTFF (including publishing a draft MTFF by end-June) should be required by the revised FRA.¹²

- *Strengthened accountability.* The revised FRA should explicitly make the Minister of Finance accountable for observing the procedural requirement to meet the primary balance floor in the MTFF under a “comply or explain” provision. In the event the primary balance floor is not met, the FRA should require that the Minister of Finance identify corrective revenue and expenditure policies for the following year’s MTFF.
- *Enhanced oversight.* The Fiscal Responsibility Oversight Committee (FROC) should validate the macroeconomic assumptions underpinning the MTFF and provide assessments of fiscal risks. The council should provide a view on when/whether to trigger the escape clause and assess the realism of the associated recovery plan. Over the medium term, as capacity is built, the FROC could be given additional mandates such as providing independent macroeconomic forecasts and independently costing policy initiatives. The government should facilitate the council’s access to timely information. The FROC’s accountability could be improved by asking it to regularly report to Parliament and attend regular hearings. Also, periodic assessments of the FROC’s performance by the Auditor General could be valuable.
- *Contingency fund.* Strictly implementing the authorities’ plan to save 10 percent of the CBI inflows into the contingency fund would help smooth government expenditures and provide resources for future generations. A fully operationalized contingency fund—that is capitalized by the government’s undrawn SDR holdings—would provide insurance for major shocks.
- *Improved fiscal transparency.* A summary of COVID-related expenditure was published in May 2023.¹³ The government should further improve fiscal transparency by clarifying the definition of the central government as well as publishing audited financial statements of the government and SOEs, aggregate debt statistics, and improved data on CBI flows and their usage. Over the medium term, adopting GFSM2014 would be a further step forward.

16. The efficiency of the tax system can be improved to increase fiscal space. There is scope to do more risk-based internal auditing for customs administration. Greater investments can be made in retraining and retooling staff at both customs and domestic revenue administrations. Efforts to better measure tax gap, increase digitalization, and generally improve compliance can benefit from a TADAT assessment that helps identify priorities. The tax incentive framework needs an update based on a re-assessment of the rationales, costs, and benefits of various incentives. Tax holidays should be converted to accelerating depreciation or possibly allowing the full expensing of

¹² As a transition measure, the submission to Parliament and publication of the end-June MTFF could be delayed for a few years to allow for some time to gain experience with the new procedures.

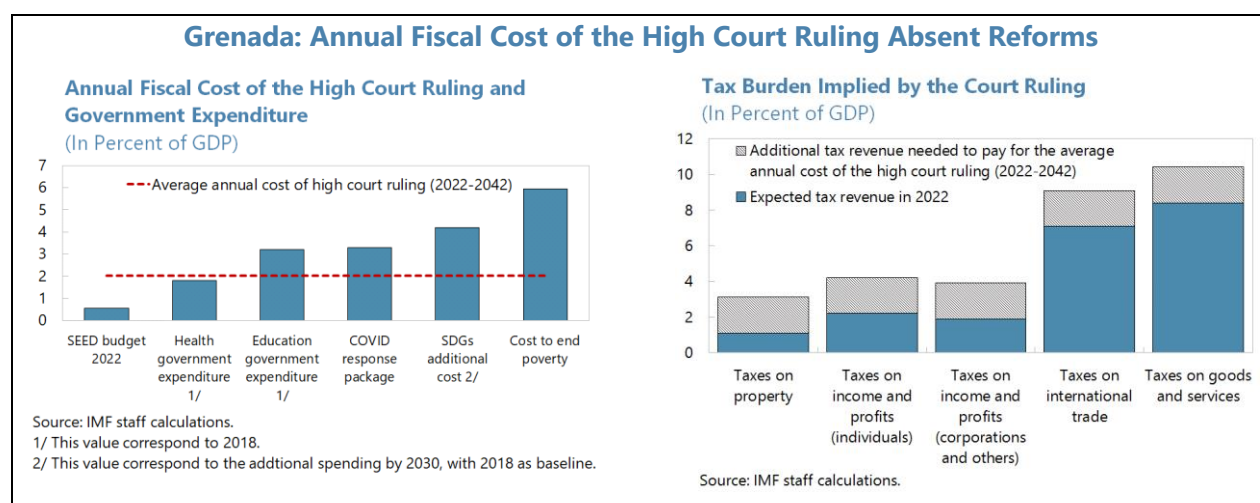
¹³ See “[Summary of COVID-19-Related Expenditure for 2020 and 2021, Government of Grenada, May 2023](#)”.

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capital spending. Any amnesty for tax arrears should be accompanied by efforts to reinforce compliance and prevent the recurrence of arrears.

17. There is scope to improve public investment management and increase the efficiency of public spending. The newly established Ministry of Mobilization, Implementation, and Transformation should address major bottlenecks in project implementation and increase oversight. Implementing PIMA/C-PIMA high-priority recommendations—notably to strengthen project appraisal and determine minimum maintenance requirements and costs for key infrastructure assets—would improve efficiency. The planned review of the procurement process should lead to concrete plans that will increase transparency and accountability. A framework for public-private partnership should be developed and include clear guardrails to manage fiscal risks.¹⁴

18. Parametric changes are needed to ensure the sustainability of the pension system (Box 1). A high court ruling reinstated the public pension scheme that was closed in 1985 and created large, retroactive, and prospective pension liabilities for the government. Paying for these additional liabilities (at an annual average cost of 1¼ percent of GDP over the next 20 years) risks raising the debt level, crowding out critical spending, or adding to the tax burden. Starting in 2024, a single pension scheme—that ensures the sustainability of the pension system—should be established for new entrants. Without major reforms, the National Insurance Scheme (NIS) is not financially sustainable and represents a large contingent liability for the public sector. The authorities’ plans—to raise the pensionable age from 60 to 65 and the contribution rate from 11 to 16 percent (both by 2031)—will help reduce the NIS financing gap but will be insufficient to restore actuarial balance to the system. Further reforms could include gradually extending the reference wage years (from the current best 5 years to at least 20 years), replacing ad hoc benefit adjustments with a predictable price indexation formula, and applying uniform accrual rates that incentivize a longer contribution history. There is scope also to reduce administrative costs and provide incentives for self-employed workers to participate.



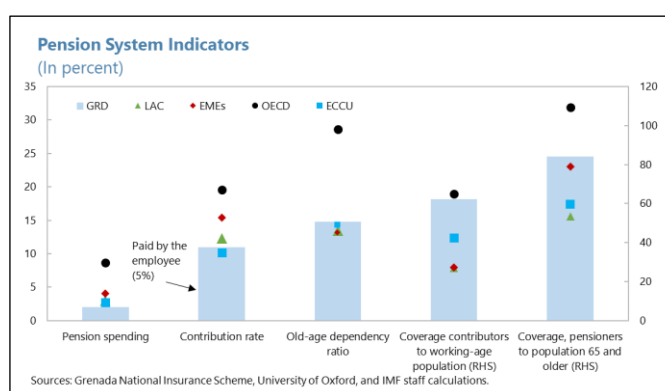
¹⁴ [“Mastering the Risky Business of Public-Private Partnerships in Infrastructure”](#), 2021, Fiscal Affairs Department, International Monetary Fund.

19. Efforts to improve public service provision should be stepped up. The ongoing review of public services should critically assess the allocation of resources and help retrain public workers. A plan should be developed to eliminate the differential treatment of public sector workers depending on the nature of their labor contract. A comprehensive wage review and payroll audits are needed to ensure the wage grid reflects the current labor market conditions, laying the foundation for a sustainable compensation management.

Box 1. Grenada: Social Insurance System^{1/}

Before March 2022, the National Insurance Scheme (NIS) acted as a uniform, unified social insurance scheme in Grenada, covering both public and private sector employees. This followed the 1983 reform that closed all public sector pension schemes to newly hired public employees through the Pension Disqualification Act (PDA). Covering approximately 8,900 beneficiaries, the NIS provides protection for old age, disability, death, employment injury, maternity, and sickness benefits.

Pension benefits are determined by a generous accrual schedule, with a 11 percent contribution rate. The accrual schedule is frontloaded: the first ten years (500 weeks) earn a 30 percent replacement rate, with a 1 percent accrual for every 50 weeks thereafter, up to a ceiling of 60 percent. While not uncommon in the region, accrual rates for the first 10 years are very high, and the contribution rate is relatively low compared with non-ECCU countries.



Without major reforms, the NIS is not financially sustainable, representing a large contingent liability for the public sector. The combination of high accrual and low contribution leads to growing deficits despite a relatively young population. Investment incomes have recently been used to pay for benefits, as contributions are no longer sufficient to pay for expenditures on an annual basis. In 2018, the NIS sold assets for the first time to pay benefits. The reserve is estimated to be exhausted between 2032 and 2034.

In March 2022, a high court ruling reinstated the public pension scheme, creating a two-tier system. The high court ruling declared the PDA unconstitutional, on the ground that the reform failed to make provisions (granted by the Constitution) for early retirement by special job categories and canceled positions. The ruling established 38 years of pension entitlements with retroactive effectiveness.

The court decision on public pension implies significant, new pension liabilities for the government. Without a reform, the new prospective payment is projected to rise steadily in the next few decades, from about 0.8 percent of GDP annually through 2025 to about 3.4 percent of GDP by 2060. This could crowd out substantial fiscal space for capital investment and social spending, undermining the efforts to achieve Sustainable Development Goals.

¹ Based on IMF FAD TA report on Grenada public pensions, 2022.

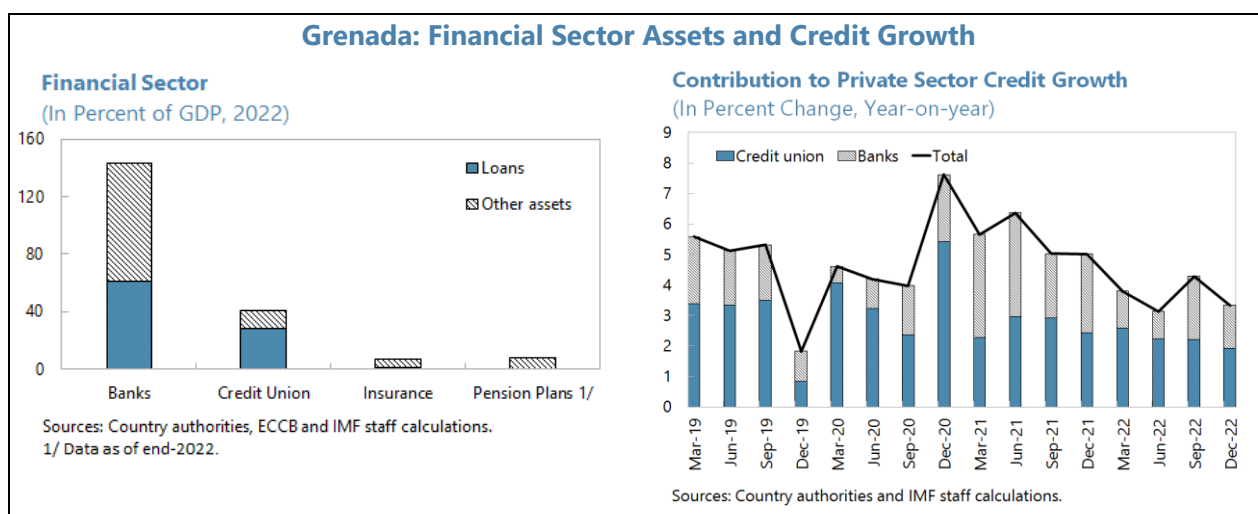
Authorities' Views

20. The authorities broadly agreed with staff's advice on preserving fiscal credibility and sustainability. They committed to an increase of the primary fiscal balance this year to meet the

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fiscal rule constraints. Given the persistence of the increases in food and energy prices, the existing fiscal relief measures will be kept in place, along with continued efforts to enhance the social protection programs. The authorities agreed with the technical aspects of staff's recommendations on amending the FRA, but preferred a phased approach. Key planned amendments include broadening the coverage of public debt, removing the rule limiting primary expenditures, and enhancing the oversight by the fiscal council. The authorities prefer to keep a primary balance floor—calibrated to meet the debt anchor—and a wage bill ceiling in the FRA with the aim to incentivizing additional fiscal prudence. The authorities stressed the importance of making the pension system sustainable and agreed that the regularization of public sector workers must go together with the pension reform and be based on a thorough review of job functionality.

B. Safeguarding Financial Stability and Improving Intermediation



21. The regulation and supervision of credit unions need to be strengthened. Credit unions account for one-fifth of deposits and one-third of loans. They support financial inclusion (with 84,000 members) and increase access to consumer credit and mortgages (Box 2). However, their rising systemic importance calls for better oversight:

- **Regulations.** The Grenada Authority for the Regulation of Financial Institutions (GARFIN) should tighten lending standards and provisioning requirements and provide a tighter definition of capital (aligned with that for banks with capital requirements based on risk weights for broad categories of loan exposures). Clearer regulatory guidelines, periodic stress testing, and better enforcement of corrective actions would help mitigate risks in the sector.
- **NPL.** GARFIN has appropriately intensified the monitoring of NPL management, workout, and provisioning (e.g., through more frequent and targeted on-site examinations) and should continue such efforts. Credit unions should be required to improve their internal risk management practices and debt collection efforts, recognizing the difficulty of repossessing and liquidating collateral, the uncertainty in collateral valuation, and the lack of consistent

information on borrowers' credit history. There is a need for credit unions to more quickly recognize loan losses and devise a strategy to reduce their legacy NPLs.

- *Supervision.* An effective risk-based and forward-looking supervisory approach would boost confidence in the soundness of credit unions and allow risks to be detected and addressed at an early stage. To achieve this will require (i) more granular information, (ii) better analytical capacity, and (iii) well-designed stress testing. GARFIN should implement the risk-based supervisory templates (that have been updated recently with CARTAC support) and require an improvement in the governance and risk management of credit unions.
- *Data.* GARFIN should consider publishing more details on prudential ratios, provisioning, and the composition of loans by sector and by type of credit.

Box 2. Grenada: Credit Unions

Grenada saw a rapid expansion of credit unions in the past decade. Their total assets grew by 13.4 percent annually during 2013–19, outpacing banks (at 4.9 percent annually). During the pandemic, credit unions continued growing faster than banks, though the growth difference narrowed.

The sector is highly concentrated in three largest credit unions (out of ten). They jointly accounted for 88 percent of total loans in 2022Q4. Most borrowing was for houses, home furnishing, and land and vehicle purchase.

Credit union NPLs rose significantly during the pandemic, before stabilizing in recent quarters. NPLs delinquent for more than 90 days rose from 4.5 percent in 2019Q4 to 9.7 percent in 2022Q3, before falling to 8.4 percent in 2022Q4.

Loan Composition of Top 3 Credit Unions (In Percent of Total Loans)		
	2021	2020
Business	4.7	6.3
Housing, home furnishing, land purchase	48.7	45.9
Vehicle	6.1	6.7
Other 1/	40.5	41.1
Sources: Annual reports of credit unions.		
1/ This category includes debt consolidation, personal expenses, and education.		

These increases were driven by largest credit unions and occurred mainly after the expiration of loan moratorium programs at end-2021, while smaller credit unions had elevated NPLs even before the pandemic.

Credit unions in Grenada face other challenges, which can increase vulnerabilities during a downturn.

- *Profitability.* Profitability had been through a secular decline, which was exacerbated by the pandemic. Beyond the saturated domestic loan markets, credit unions have limited business opportunities—investment in securities outside the ECCU needs permission from GARFIN on a case-by-case basis. The mandate of credit unions limits their ability to charge fees from members to boost profitability.
- *Risk management.* Utilizing the regional partial credit guarantee scheme to help manage risks remains a challenge. Moreover, credit unions do not have access to central bank operations or deposit insurance, making them vulnerable to liquidity shocks.

22. GARFIN should strengthen crisis preparedness and incentivize greater resilience of financial institutions to climate-related shocks. Enhanced collaboration with the ECCB is needed to accelerate the formulation of a national crisis management plan to contain potential system-wide

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risk in both banks and non-banks. Efforts to incentivize greater financial resilience to climate-related shocks should incorporate (i) a reporting structure for granular monitoring of physical climate risks and relevant transmission channels; (ii) regular risk assessments and stress tests on major climate events; and (iii) drawing on ECCB initiatives to incorporate climate risks into reporting, regulatory, and supervisory frameworks.

23. The authorities should encourage financial institutions to leverage the ECCU regional credit bureau when it becomes operational and to improve financial literacy (including through school curricula and community outreach). Smaller firms' access to credit could be improved by drawing more on the regional partial credit guarantees scheme, providing training on developing a business plan and preparing financial statements, and streamlining business loan applications.

24. A strengthened AML/CFT framework would mitigate risks associated with the CBI program and potential threats to correspondent banking relationships. The CFATF's mutual evaluation report (published in July 2022) highlighted weaknesses in Grenada's understanding of the ML/TF risk associated with legal persons and the CBI program. The report also highlighted deficiencies related to the verification of basic and beneficial ownership information. The authorities recently staffed the AML/CFT committee and should: (i) strengthen measures to mitigate the misuse of legal persons, (ii) enhance arrangements for the verification of basic and beneficial ownership information, (iii) improve the vetting and approval process used for the CBI program, and (iv) continue to engage with counterparts in Europe and the U.S. to address their national security concerns arising from Grenada's CBI program.

25. Safeguards assessment. An updated safeguards assessment of the ECCB, finalized in August 2021, found strong external audit and financial reporting practices that continue to be aligned with international standards. Legal reforms were recommended to further strengthen operational autonomy of the ECCB and align its Agreement Act with leading practices. The issuance of DCash introduces new risks that require additional controls and oversight, and the assessment made recommendations to enhance the related project-governance framework.

Authorities' Views

26. The authorities agreed that regulation and supervision of credit unions should be stepped up. The financial system remains liquid, while limited availability of bankable projects constrained bank credit growth. GARFIN has strengthened the enforcement of corrective actions, which helped reduce NPLs from the peak level in 2022Q3. They stressed the need to raise loan loss provisioning requirements for credit unions and is working with non-bank regulators in the region in this regard. The authorities continued to develop the capacity to assess climate risks and appreciated the support from CARTAC in enhancing the risk-based supervisory approach and assessing macro-financial risks.

C. Enhancing Competitiveness

27. Efforts to increase airlift and expedite the border process have led to a notable increase in the number of flights, diversifying the source countries of tourists. There is scope to promote Grenada as a destination for sports, nautical, eco-adventure, health and wellness, and community-based tourism. Developing the linkages with domestic agriculture and fisheries would increase the domestic value added of tourism. Measures to boost agricultural productivity and build resilience to adverse weather events will be critical to securing future production.

28. There is scope to better promote gender equality, boost labor participation, and improve skills. There is evidence of a gender pay gap and a female participation gap (Box 3). Incentivizing female labor force participation—including by promoting transparent pay practices and investing in care facilities to reduce the burden of family duties—could boost labor supply and potential growth.¹⁵ The authorities' Gender Equality Policy and Action Plan has piloted gender budgeting and a gender budget statement has been incorporated into the budget in 2023 that lays out the government's objectives and provides gender-focused outcome indicators to judge performance. Training and apprenticeship programs (including a reformulated *Imani* program) should focus on increasing technical and entrepreneurial skills, better connecting academic institutions with employers, and facilitating the transition to employment. Finally, planned adjustments in the minimum wage should be consistent with identified productivity gains and be supported by efforts to facilitate job searching.

Authorities' Views

29. The authorities concurred with the need to increase the value added of the tourism sector, including through deepening linkages with other sectors such as agriculture. Ongoing initiatives in the agricultural sector will also help improve efficiency and increase agricultural security and resilience. Training programs provided by both the public and private sectors will help develop skills and boost employment, including for the youth, and address potential labor shortages in some sectors.

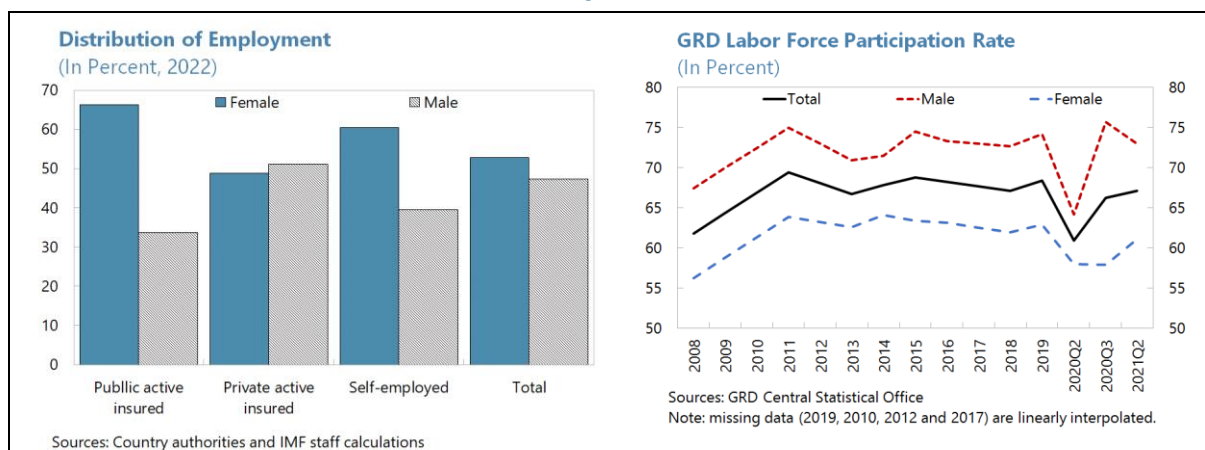
Box 3. Grenada: Gender Gap in Labor Markets

Average income and labor market participation for women are lower than for men, despite women's higher education attainment on average. In the sample of employment registered with the NIS, women dominate in the public and self-employed sectors. Men on average earn more than women across all major types of employment. Female labor force participation, as reported in the labor force survey, was persistently below male participation by 10–11 percentage points during 2010–19.

¹⁵ Closing the gender gap in labor force could boost labor force participation by about 3½ percentage points from around 67 percent in 2021 (latest available data).

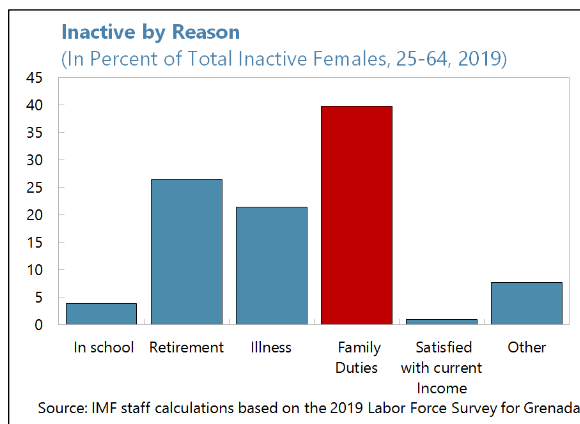
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Box 3. Grenada: Gender Gap in Labor Markets (Concluded)



Using microdata from the Labor Force Survey, a Mincer “human capital earnings function” analysis points to a gender pay gap—that is, women tend to receive less income than men with the same observable characteristics. Individuals with a higher level of education or longer work experience earn higher pay. Individuals working in construction, information and communication, and financial and insurance activities also tend to earn higher pay. However, controlling for the variations in education attainment, experience, industry/occupation affiliation, region and time dummies, the coefficient on the gender variable is negative and statistically significant.

Results from an estimated *Probit* model suggest that women are 12 percent less likely than men to participate in the labor force. This holds when a few observable characteristics are accounted for, including age, education attainment, size of the household, and whether living with young children. Prime-age workers participate more and individuals with a higher level of education are more likely to join the labor force, especially those who have obtained post-secondary education. Contrary to expectations that childcare burden reduces labor force participation, the evidence suggests that individuals who live with children are more likely to participate in the labor force. The estimated gender difference in participation rate could reflect broader family responsibility borne by women beyond childcare, including possibly elderly care.

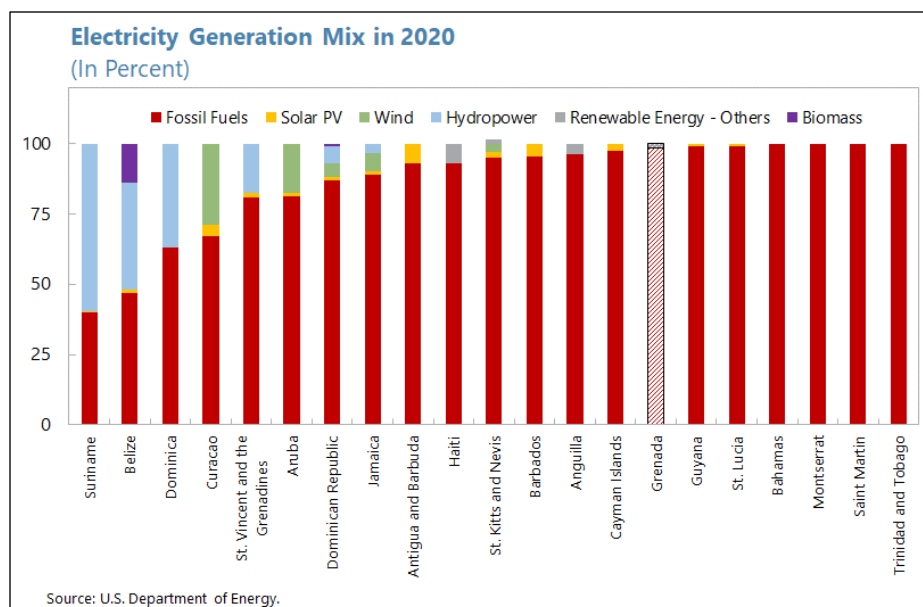


D. Building Resilience

30. The transition to renewable energy is being accelerated.¹⁶ Enhancing the regulatory framework—including through the newly approved National Energy Policy and the Grenada

¹⁶ See 2022 Article IV Staff Report (IMF Country Report No. 22/134) for detailed discussion on potential improvement in economic competitiveness and longer-term balance-of-payments position from a transition to renewable energy.

Electricity Sector Grid Code—would help ensure a smooth absorption of renewable energy generation in the existing grid and reduce permitting and connection delays. Concessional financing from multilaterals and climate funds would help catalyze private capital for investments in renewables. Better communication about the environmental impact of drilling for geothermal generation would help foster public support and incentivize private capital.



31. The authorities are advancing the implementation of their [Disaster Resilience Strategy](#).

The 2023 budget included a Climate Budget Tagging pilot (with World Bank support) to categorize, measure, and monitor climate-relevant public policies. This has resulted in the identification of around 2 percent of GDP in climate-rated projects. Coverage has been renewed for both the Caribbean Catastrophe Risk Insurance Facility and a World Bank Catastrophe Deferred Drawdown Option facility. Regulations should, though, be updated following the recent approval of the Disaster Management Bill to strengthen the technical and operational capacity of the National Disaster Management Agency and improve the policy response to climate risks.

Authorities' Views

32. The authorities agreed on the importance of accelerating energy transition and building resilience. The National Energy Policy prioritizes the development of geothermal, solar, and wind resources, which can be facilitated by affordable financing and regulatory reforms that speed up the approval and connection of projects. The authorities noted that concessional financing and grants are critical for increasing spending on disaster management and resilience.

E. Data Issues

33. Continued improvement of data collection would support evidence-based policymaking. Data provision is broadly adequate for surveillance but has important weaknesses that hamper economic analysis. The expected resumption of the labor force survey, as well as the publication of the 2022 Census, will help facilitate improved analysis of social and economic development (especially, employment, poverty, and gender equality). An update of the CPI weights

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is needed to ensure headline inflation rates are an accurate reflection of inflation faced by households. CBI statistics should be improved (through publishing the flows and usage of resources). The collection and dissemination of high frequency indicators would improve the accurate recording of data. A timely appointment of a new Central Statistics Office director should be a priority.

Authorities' Views

34. The authorities agreed that further progress is needed to improve data availability and quality to support policy analyses. They noted that progress had been made on this front, although the auditing of government financial statements was delayed due to capacity constraints. They agreed with the urgent need to update the CPI basket, resume the labor force survey, publish data from the 2022 Census, and improve the quality of CBI statistics.

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35. Fiscal buffers built up over the past decade have allowed the authorities to respond swiftly both to the pandemic and to higher energy and food prices. The government's relief measures in 2022 helped protect the population from rising global food and fuel prices. However, more could have been done to target this support and preserve fiscal resources.

36. The economic recovery is taking hold, but important near-term downside risks remain. Real GDP is projected to expand by 3.9 percent in 2023. An economic slowdown of key tourist source markets, renewed increases in food and fuel prices, a natural disaster, or an abrupt decline in revenues from the CBI program could weaken growth, worsen the fiscal position, and threaten debt sustainability. On the upside, shifting demand for services in advanced economies could make for even stronger tourism demand and investment projects may prove to have a more front-loaded impact on the economy.

37. The external position is assessed to be weaker than the level implied by fundamentals and desirable policies. Estimated imputed reserves are assessed as adequate.

38. Public debt is now back to a downward path and debt is assessed to be sustainable. However, Grenada is found to remain "in debt distress" due to its outstanding arrears of about US\$37.6 million to official bilateral creditors, including Trinidad and Tobago and Algeria.

39. The immediate policy priority is to return to the fiscal rules to preserve credibility. Spending on relief measures should decline as the initial food and fuel price spike dissipates. The focus should be on structurally improving the effectiveness and targeting of social assistance programs (including through improvements in the determination of eligibility) and moving away from broad-based support.

40. The planned amendment of the Fiscal Responsibility Framework should be used to simplify the fiscal rules, institute a more effective MTFF, and enhance accountability and

oversight. Maintaining the framework's current focus on debt reduction will continue to underpin debt sustainability. There is also a need for greater clarity on how fast debt should return to its medium-term path following a shock. A fully operationalized contingency fund will help smooth government expenditure and provide insurance for major shocks. Transparency should be enhanced by publishing public sector and SOE audited financial statements and improving data on CBI flows and their usage.

41. To make space for critical spending will require increasing the efficiency of both the tax system and public spending. The tax incentive framework should be updated based on a reassessment of the rationales, costs, and benefits of various incentives. Public investment management should be strengthened to address major bottlenecks in project implementation, improve project oversight, and strengthen the transparency and accountability of the procurement process.

42. The sustainability of public finances should be improved. Reforms to the NIS through a phased increase in the contributory rate and pensionable age will help improve the financial position of the NIS and should be quickly implemented. The new pension system for new entrants to public service should be designed to be actuarially sound. The ongoing regularization of public sector workers should be guided by a thorough review of job functions that assesses the allocation of resources and help retrain public sector workers. A comprehensive wage review and payroll audits are needed to ensure the wage grid reflects the current labor market conditions.

43. The financial sector is stable, liquid, and resilient to shocks amid tightening global financial conditions, but NPLs at credit unions are at elevated levels. Lending standards and provisioning requirements should be tightened for credit unions while continuing to enforce corrective actions for those institutions that do not meet prudential requirements. Credit unions should strengthen their own debt collection efforts and bolster their internal governance and risk management practices. Achieving an effective risk-based and forward-looking supervisory approach will require more granular information, better analytical capacity, and well-designed stress testing. The authorities should find ways to improve financial literacy and should encourage financial institutions to leverage the ECCU regional credit bureau when it comes into operation.

44. To enhance competitiveness, Grenada should increase the domestic value-added of tourism, promote gender equality, and improve labor skills. Strengthening linkages with agriculture and fisheries will help increase the domestic value-added of tourism. Measures to boost agricultural productivity and build resilience to adverse weather events will be critical to securing future production. Policy efforts are needed to address identified gender gaps and incentivize female labor force participation. Training and apprenticeship programs should focus on increasing technical and entrepreneurial skills, better integrating academic institutions and employers, and facilitating the transition to employment.

45. Building resilience requires the government's resolute implementation of its Disaster Resilience Strategy and an expeditious transition to renewable energy. Continued improvement in the regulatory framework can help incentivize the adoption of renewable energy. Concessional

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financing from multilaterals and climate funds can help catalyze private financing for investments in renewables and climate adaptation. Communication about the environmental impact of renewable energy projects would help foster public support and incentivize private financing of such projects.

46. It is recommended that the next Article IV consultation take place on the standard 12-month cycle.

Proposed Decision

The following decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board:

The Executive Board endorses the thrust of the staff appraisal in the report for the 2023 Article IV consultation with Grenada (SM/23/158, 6/29/2023).

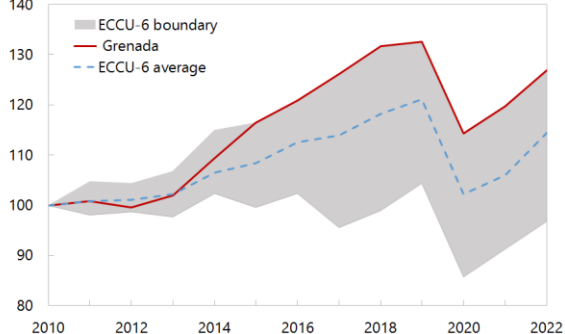
It is expected that the next Article IV consultation with Grenada will take place on the standard 12-month cycle.

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Figure 1. Grenada: Key Macroeconomic Indicators

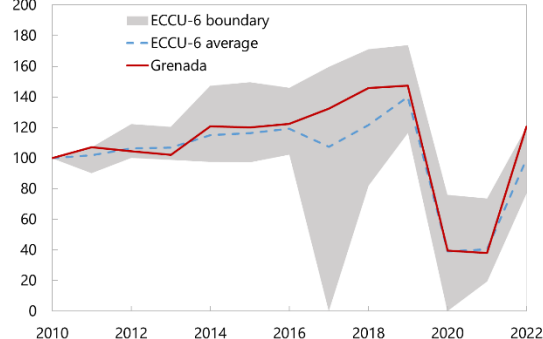
Real GDP level continues staying above the ECCU average.

Real GDP (2010 = 100)



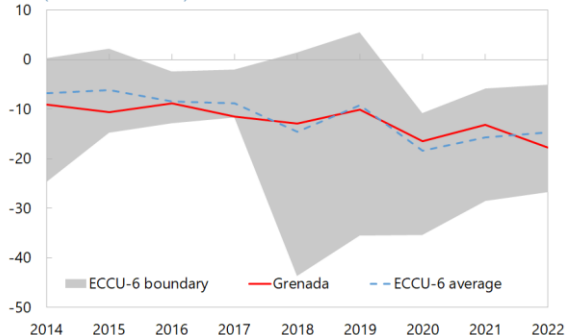
Tourist arrivals have been catching up and exceeded the ECCU average, following a collapse in 2020.

Stay-over Tourists Arrivals (Index, 2010=100)



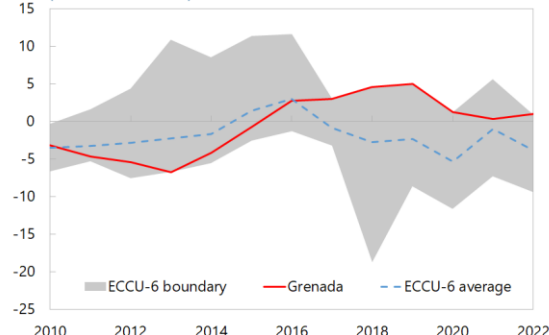
The current account deficit has been broadly in line with the ECCU average,...

Current Account (Percent of GDP)



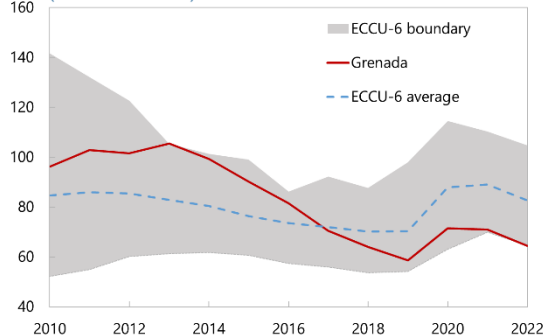
...though fiscal position stays stronger than the ECCU average.

Fiscal Overall Balance (Percent of GDP)



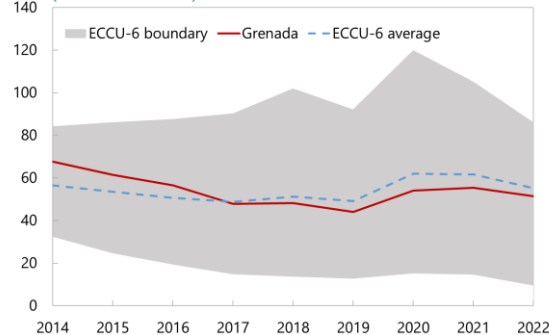
Public debt developments since the onset of the pandemic have been in line with the regional average,...

Public Debt (Percent of GDP)



...financed largely by external creditors.

Public External Debt (Percent of GDP)



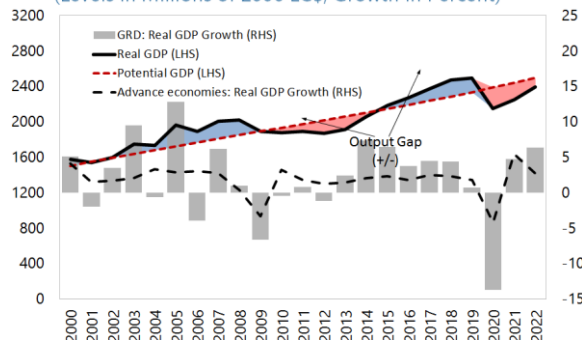
Sources: ECCB, country authorities and IMF staff calculations.

Figure 2. Grenada: Real Sector Developments

The economy continued to rebound in 2022, with a narrowing output gap...

Actual and Potential Real GDP

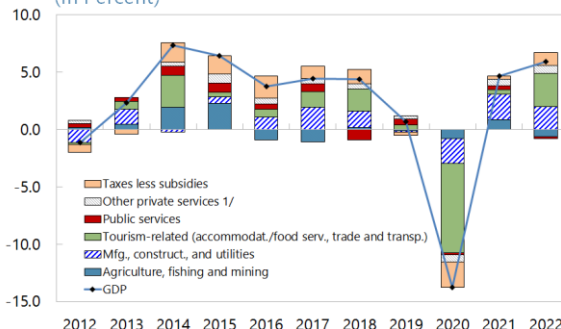
(Levels in Millions of 2006 EC\$; Growth in Percent)



...driven by construction and tourism-related sectors.

Contribution to Growth by Sector

(In Percent)

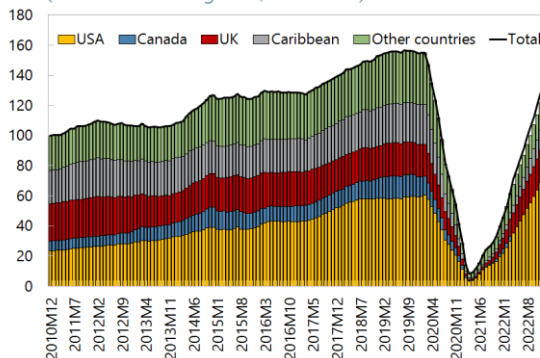


1/ Others include Information and Communication; Financial and Insurance; Real Estate; Professional, Scientific and Technical Activities; Administrative and Support Services; Private Education and Health Services; Arts, Entertainment and recreation; and Other service activities.

Stay-over arrivals rebounded strongly, especially from the U.S., and, to a lesser extent, U.K.

Stay-over Arrival Index by Source Country

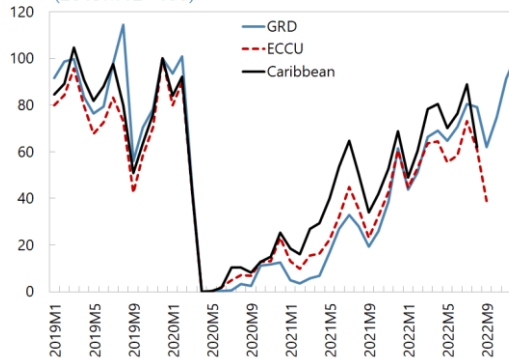
(12-month Moving Sum, 2010=100)



Tourist arrivals are back to pre-pandemic levels and above the regional averages.

Tourist Arrival Index

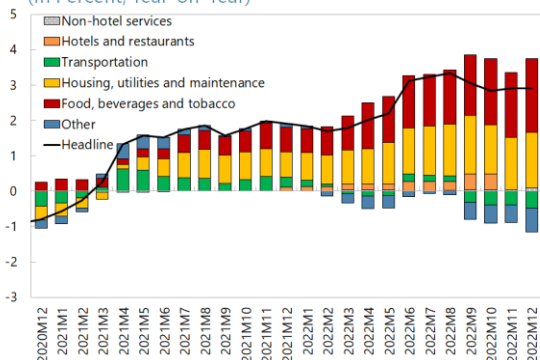
(2019M12=100)



Inflation picked up, driven by fuel and food prices...

Contributions to Headline Inflation

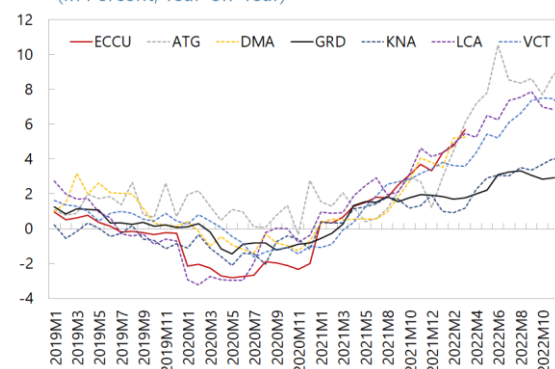
(In Percent, Year-on-Year)



...in line with most ECCU countries.

ECCU: Inflation

(In Percent, Year-on-Year)



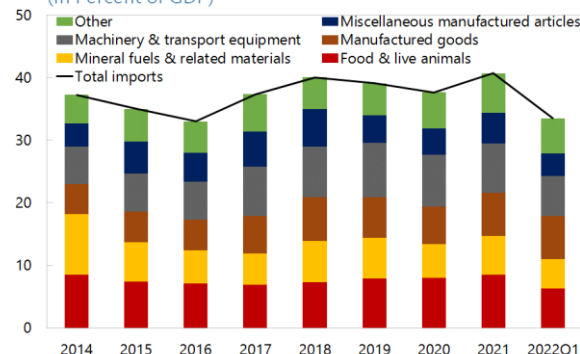
Sources: ECCB, country authorities and IMF staff calculations.

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Figure 3. Grenada: External Sector Developments

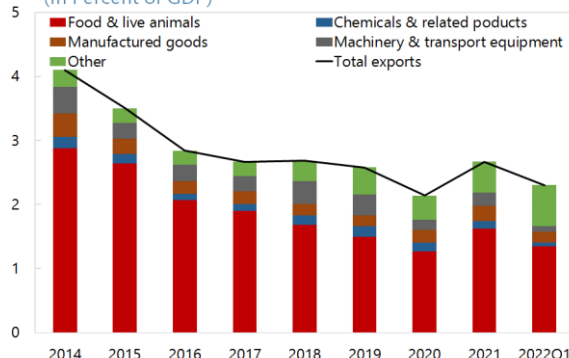
Imports edged down in early 2022,...

Imports by Major Components
(In Percent of GDP)



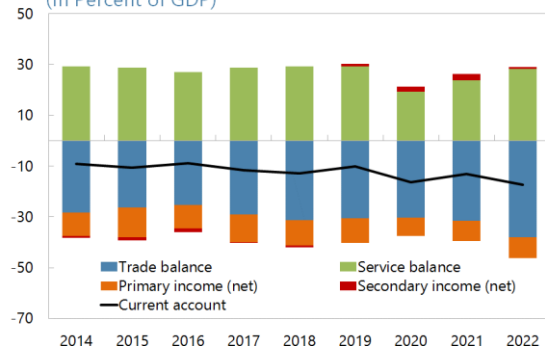
... so did exports.

Exports by Major Components
(In Percent of GDP)



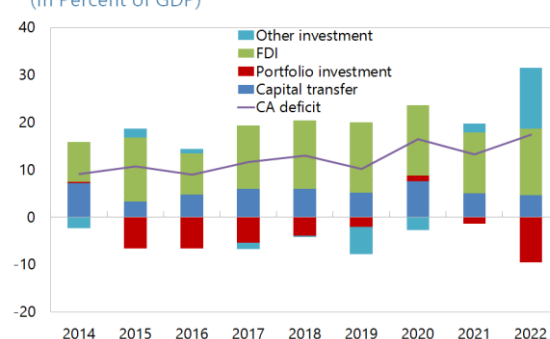
The current account deficit widened in 2022 due to a larger trade balance deficit,...

Current Account Balance
(In Percent of GDP)



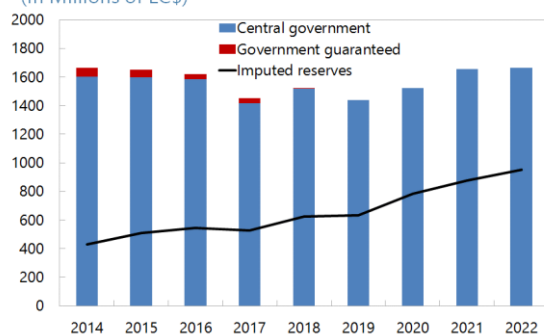
... financed by FDI, capital transfer and other investment (mainly official loans).

Current Account Financing
(In Percent of GDP)



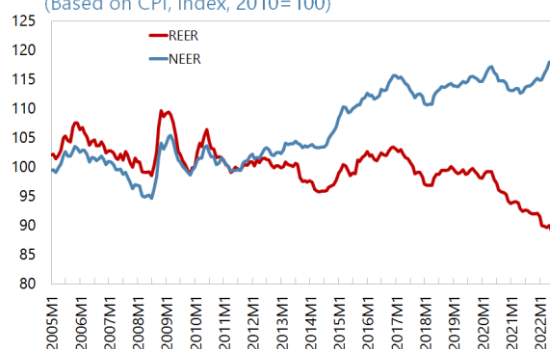
Reserves remain adequate relative to the size of external debt.

External Debt and Imputed Reserves
(In Millions of EC\$)



The REER is depreciating, in contrast to NEER, reflecting widening inflation differentials with trading partners.

Effective Exchange Rate
(Based on CPI, index, 2010=100)



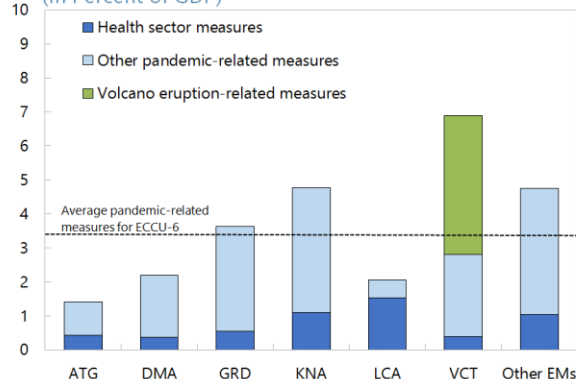
Sources: ECCB, country authorities and IMF staff calculations.

Figure 4. Grenada: Fiscal Sector Developments

Decisive and bold fiscal actions were taken to address the fallout of the pandemic,...

Discretionary Fiscal Measures: 2020-2021

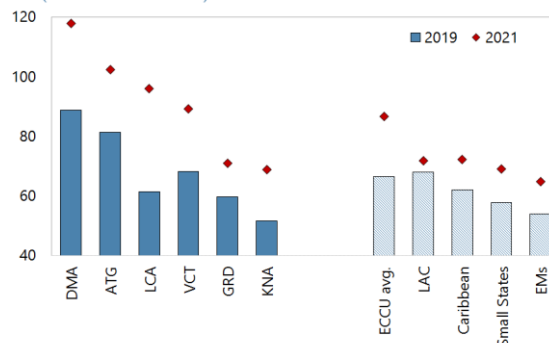
(In Percent of GDP)



...which, along with the decline in output, resulted in substantial increases in public debt across the region.

ECCU: Public Debt

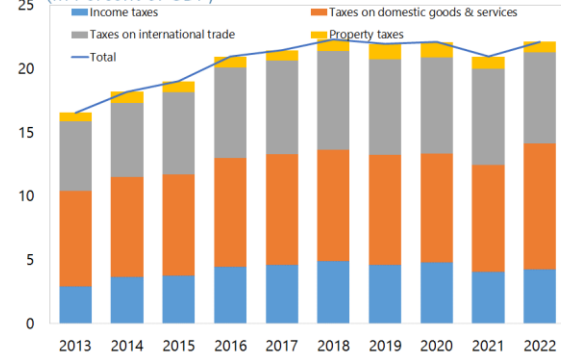
(In Percent of GDP)



Tax revenue picked up in 2022 thanks to the robust economic recovery and higher import values.

Total Tax Revenue

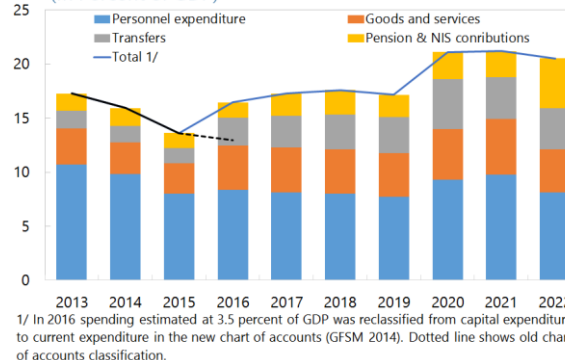
(In Percent of GDP)



Extra spending on court-ordered pension payout was offset by a lower wage bill due to difficulties to fill vacancies.

Current Primary Expenditure

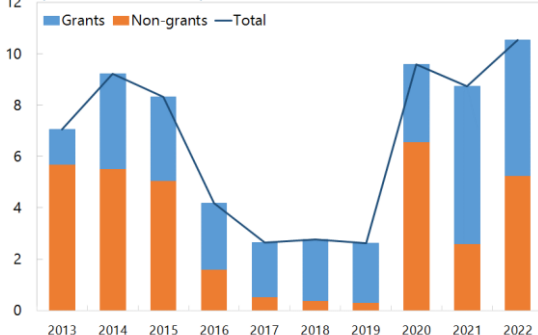
(In Percent of GDP)



Strong CBI revenues and grant contributed to an upswing in capital spending,...

Capital Expenditure

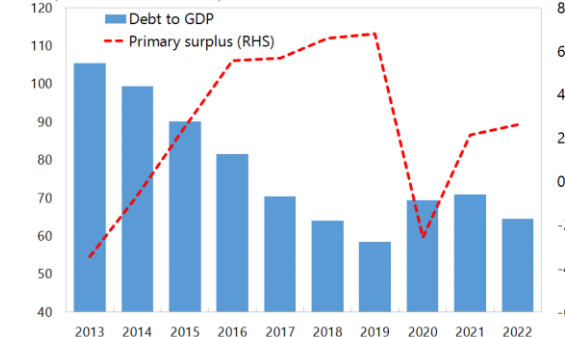
(In Percent of GDP)



...which, together with stronger growth and tax revenues, helped improve the fiscal balance and public debt.

Public Sector Debt and Fiscal Balance

(In Percent of GDP)

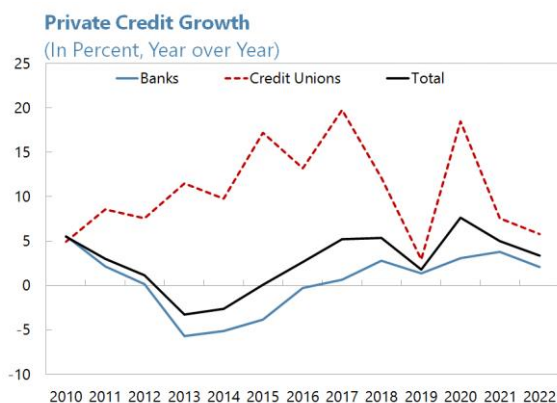


Sources: ECCB, country authorities and IMF staff calculations.

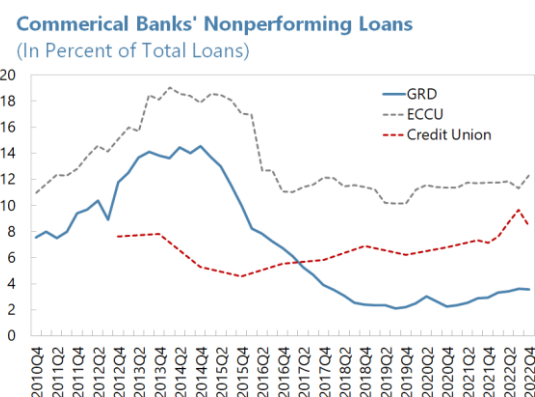
GRENADA

Figure 5. Grenada: Monetary Sector Developments

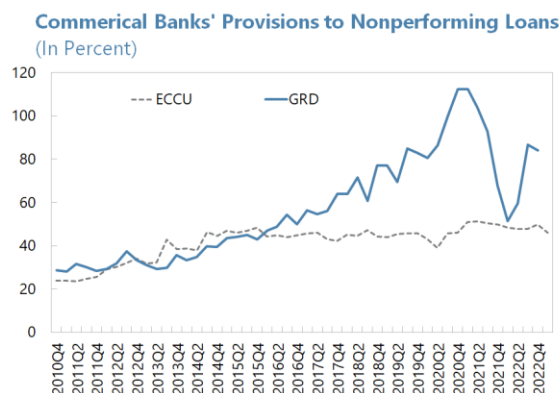
Credit growth continued to be modest, with credit unions outpacing commercial banks...



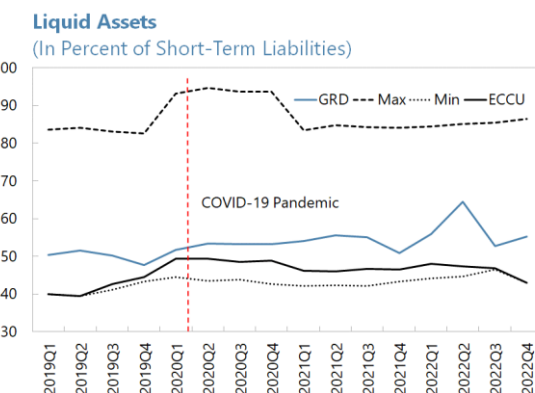
...NPLs rose during the pandemic, especially for credit unions.



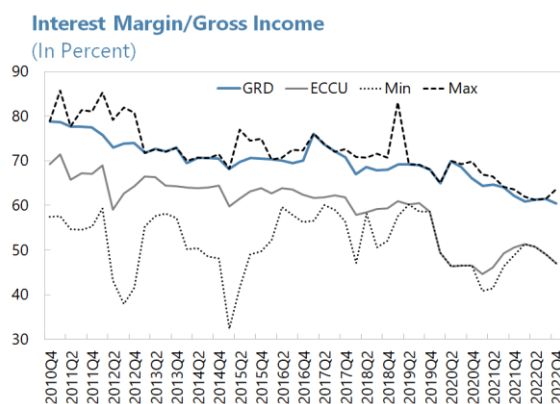
Banks prudently kept a high level of provisioning...



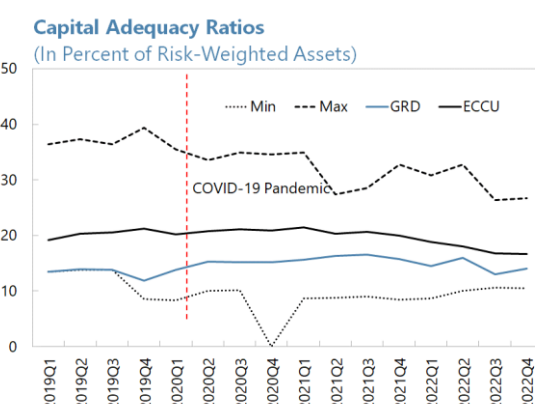
...the financial system maintained ample liquidity.



After a gradual decline, interest income as a share of gross income was still high...



...capital remained adequate but had been persistently lower than the regional average.



Sources: ECCB, country authorities and IMF staff calculations.

Table 1. Grenada: Selected Economic and Financial Indicators, 2018–28

Rank in UNDP Human Development Index out of 189 countries (2021)	68											
Life expectancy at birth in years (2021)	75											
GDP per capita in US\$ (2021)	9,010											
Population in millions (2021)	0.12											
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	
					Est.				Proj.			
	(Annual percentage change, unless otherwise specified)											
Output and prices												
Real GDP	4.4	0.7	-13.8	4.7	6.4	3.9	3.8	3.5	3.2	2.7	2.7	
Nominal GDP	3.6	4.0	-14.0	6.0	8.3	7.0	6.7	5.6	5.5	5.0	5.0	
Consumer prices, end of period	1.4	0.1	-0.8	1.9	2.9	3.2	2.8	2.0	2.0	2.0	2.0	
Consumer prices, period average	0.8	0.6	-0.7	1.2	2.6	3.2	2.8	2.0	2.0	2.0	2.0	
Output gap (percent of potential GDP)	8.3	6.7	-10.0	-7.9	-4.3	-2.9	-1.7	-0.7	-0.1	-0.1	0.0	
Real effective exchange rate	-2.2	0.8	-1.9	-4.7	-3.5	...	...	...	...	...	...	
Central government balances (accrual)												
	(In percent of GDP, unless otherwise specified)											
Revenue and Grants	27.0	26.6	28.1	32.1	33.7	30.5	29.9	29.6	28.8	28.5	28.4	
Taxes	22.3	21.9	22.1	21.0	22.1	22.4	22.0	21.9	22.0	22.1	22.1	
Non-tax revenue 1/	1.6	1.8	2.4	3.4	4.6	6.1	5.9	5.7	4.9	4.5	4.4	
Grants 1/	3.0	2.9	3.7	7.7	6.9	2.0	1.9	1.9	1.9	1.9	1.9	
Expenditure	22.4	21.6	32.7	31.7	32.7	28.4	28.0	27.6	28.5	28.5	28.6	
Current primary expenditure	17.6	17.2	21.1	21.2	20.5	19.6	19.4	19.3	19.8	20.1	20.4	
Interest payments	2.0	1.9	2.0	1.8	1.7	1.5	1.6	1.6	1.4	1.3	1.2	
Capital expenditure	2.8	2.6	9.6	8.7	10.5	7.3	6.9	6.7	7.3	7.1	7.0	
Primary balance	6.6	6.8	-2.6	2.1	2.6	3.6	3.6	3.6	1.6	1.3	1.0	
Overall balance	4.6	5.0	-4.5	0.3	1.0	2.1	1.9	2.0	0.2	0.0	-0.2	
Public debt (incl. guaranteed) 2/	64.0	58.5	71.4	71.0	64.6	61.1	58.3	55.0	51.9	49.3	47.1	
Domestic	15.7	14.6	16.2	15.6	13.1	9.3	8.0	7.3	6.3	5.7	5.1	
External	48.3	44.0	55.2	55.4	51.4	51.9	50.3	47.7	45.6	43.6	42.0	
Money and credit, end of period (annual percent change)												
Broad money (M2)	5.9	2.9	9.1	8.5	9.9	5.7	4.3	3.3	3.2	2.8	2.8	
Credit to private sector	2.8	1.4	3.1	3.8	2.1	5.2	4.8	4.6	4.2	3.8	3.5	
Balance of payments												
Current account balance, o/w:	-12.9	-10.1	-16.4	-13.2	-17.3	-14.8	-13.2	-12.2	-12.3	-11.8	-11.5	
Exports of goods and services	53.3	54.6	41.1	48.4	52.9	58.6	58.2	57.2	56.4	55.9	55.4	
Imports of goods and services	55.4	55.8	52.2	56.3	62.8	63.3	61.2	59.1	58.3	57.3	56.6	
Capital account balance	5.9	5.1	7.5	5.0	4.6	6.0	5.5	4.2	4.2	4.2	4.2	
Financial account balance	-7.2	-6.8	-7.8	-8.5	-10.6	-8.8	-7.7	-7.9	-8.0	-7.5	-7.3	
Errors and omissions	-0.2	-1.8	1.1	-0.4	2.1	0.0	0.0	0.0	0.0	0.0	0.0	
External debt (gross)	89.3	81.8	92.9	95.5	92.7	88.2	83.6	79.5	76.0	72.8	70.2	
Savings-Investment balance	-12.9	-10.1	-16.4	-13.2	-17.3	-14.8	-13.2	-12.2	-12.3	-11.8	-11.5	
Savings	11.4	14.4	15.2	15.4	14.4	10.7	12.4	13.7	14.7	15.5	16.2	
Investment	24.3	24.5	31.6	28.7	31.7	25.5	25.6	25.9	27.0	27.3	27.7	
Memorandum items:												
Nominal GDP (millions of EC\$)	3,150	3,276	2,817	2,985	3,232	3,460	3,693	3,900	4,115	4,321	4,538	
Net imputed international reserves												
Months of imports of goods and services	4.1	5.2	5.6	5.2	5.2	5.5	5.8	5.6	5.5	5.4	5.5	

Sources: Country authorities; Eastern Caribbean Central Bank; United Nations, Human Development Report; World Bank WDI; and IMF staff estimates and projections.

1/ Nonrefundable contributions under the Citizenship-by-Investment (CBI) program that were used to finance investment projects are recorded under grants before 2023 but recorded under non-tax revenue starting 2023.

2/ Includes the impact of the debt restructuring agreement for the 2025 bonds.

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Table 2. Grenada: Balance of Payments Summary, 2018–28

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
					Est.			Proj.			
<i>(In millions of US dollars)</i>											
Current account	-150.5	-123.1	-171.4	-146.2	-207.2	-189.1	-180.5	-175.9	-186.9	-188.1	-193.9
Trade balance for goods and services	-25.5	-14.9	-116.1	-87.4	-118.6	-60.4	-41.2	-27.7	-29.6	-22.2	-19.0
Exports of goods and services	621.3	662.0	428.6	534.9	633.7	750.4	796.5	826.6	858.8	894.5	931.8
o/w Tourism	521.9	560.3	185.5	232.4	502.0	605.9	645.4	669.3	694.6	720.8	748.0
Imports of goods and services	646.7	676.9	544.7	622.3	752.3	810.7	837.7	854.4	888.4	916.7	950.7
o/w Mineral fuels	68.6	68.7	49.3	59.6	100.2	86.8	81.5	80.3	79.5	81.8	85.9
Services	235.8	259.2	198.9	229.5	255.8	267.0	271.6	281.8	277.7	273.6	270.4
Net Income	-115.1	-119.0	-74.6	-88.3	-98.9	-124.3	-132.7	-140.1	-147.9	-155.3	-163.1
Current transfers	-9.9	10.7	19.3	29.6	10.3	-4.4	-6.6	-8.0	-9.5	-10.6	-11.9
Capital account	69.0	62.0	78.7	55.7	55.1	76.8	75.5	61.3	64.7	67.9	71.3
Financial account	-84.3	-82.4	-81.5	-94.5	-126.6	-112.2	-105.0	-114.6	-122.2	-120.3	-122.7
Foreign direct investment	-168.0	-179.6	-155.4	-141.7	-168.5	-141.3	-157.7	-173.8	-191.0	-208.5	-227.4
Portfolio investment (net)	45.5	25.5	-11.9	15.5	113.7	18.2	19.1	20.0	21.0	21.9	22.9
Other investment (net)	3.4	69.2	28.9	-23.6	-88.9	-21.1	5.6	37.2	39.8	58.9	60.2
Change in imputed reserves	34.8	2.5	56.9	55.3	17.1	32.0	28.0	2.0	8.0	7.5	21.6
Errors and omissions	-2.7	-21.3	11.2	-4.0	25.4	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>(In percent of GDP, unless otherwise specified)</i>											
Current account	-12.9	-10.1	-16.4	-13.2	-17.3	-14.8	-13.2	-12.2	-12.3	-11.8	-11.5
Trade balance for goods and services	-2.2	-1.2	-11.1	-7.9	-9.9	-4.7	-3.0	-1.9	-1.9	-1.4	-1.1
Exports of goods and services	53.3	54.6	41.1	48.4	52.9	58.6	58.2	57.2	56.4	55.9	55.4
Tourism	44.7	46.2	17.8	21.0	41.9	47.3	47.2	46.3	45.6	45.0	44.5
Imports of goods and services	55.4	55.8	52.2	56.3	62.8	63.3	61.2	59.1	58.3	57.3	56.6
o/w Mineral fuels	5.9	5.7	4.7	5.4	8.4	6.8	6.0	5.6	5.2	5.1	5.1
Services	20.2	21.4	19.1	20.8	21.4	20.8	19.9	19.5	18.2	17.1	16.1
Net income	-9.9	-9.8	-7.1	-8.0	-8.3	-9.7	-9.7	-9.7	-9.7	-9.7	-9.7
Net current transfers	-0.9	0.9	1.8	2.7	0.9	-0.3	-0.5	-0.6	-0.6	-0.7	-0.7
Capital account	5.9	5.1	7.5	5.0	4.6	6.0	5.5	4.2	4.2	4.2	4.2
Financial account	-7.2	-6.8	-7.8	-8.5	-10.6	-8.8	-7.7	-7.9	-8.0	-7.5	-7.3
Foreign direct investment	-14.4	-14.8	-14.9	-12.8	-14.1	-11.0	-11.5	-12.0	-12.5	-13.0	-13.5
Portfolio investment (net)	3.9	2.1	-1.1	1.4	9.5	1.4	1.4	1.4	1.4	1.4	1.4
Other investment (net)	0.3	5.7	2.8	-2.1	-7.4	-1.6	0.4	2.6	2.6	3.7	3.6
Change in imputed reserves	3.0	0.2	5.5	5.0	1.4	2.5	2.0	0.1	0.5	0.5	1.3
Errors and omissions	-0.2	-1.8	1.1	-0.4	2.1	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Memorandum Items:</i>											
Gross external debt	89.3	81.8	92.9	95.5	92.7	88.2	83.6	79.5	76.0	72.8	70.2
External public and publicly guaranteed debt	48.3	44.0	54.1	55.4	51.4	51.9	50.3	47.7	45.6	43.6	42.0
Foreign liabilities of private sector 1/	41.0	37.8	38.8	40.1	41.3	36.4	33.3	31.8	30.4	29.3	28.2
External financing gap (millions of USD)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Nominal GDP (millions of USD)	1166.5	1213.5	1043.4	1105.7	1197.2	1281.4	1367.8	1444.4	1524.0	1600.5	1680.8

Sources: Ministry of Finance; Eastern Caribbean Central Bank; and IMF staff estimates and projections.

1/ Comprises foreign liabilities of commercial banks and other liabilities under the "Other investment" item of financial account.

Table 3a. Grenada: Operations of the Central Government, 2018–28
(In Millions of EC Dollars)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
					Est.			Proj.			
Total revenue and grants	849.1	871.9	792.7	957.1	1,088.4	1,053.9	1,103.8	1,153.1	1,184.2	1,230.2	1,288.6
Revenue	754.8	778.4	689.6	727.1	863.9	986.1	1,032.5	1,077.3	1,104.3	1,146.2	1,200.4
Tax revenue	703.0	718.7	622.8	625.4	714.9	773.4	814.3	854.2	903.9	953.4	1,002.5
Taxes on income and profits	153.9	151.4	135.0	121.5	138.0	138.4	147.7	156.0	167.7	179.3	191.7
Taxes on property	29.2	39.7	34.8	29.1	27.2	31.1	33.2	35.1	38.1	41.1	44.2
Taxes on goods and services	276.4	282.2	241.5	250.3	318.8	324.2	336.8	357.5	378.1	394.7	415.1
Taxes on international trade	243.4	245.4	211.5	224.6	231.0	279.7	296.5	305.6	320.0	338.3	351.5
Nontax revenue 1/	51.8	59.7	66.8	101.7	149.0	212.7	218.2	223.0	200.4	192.8	197.9
Grants 1/	94.3	93.5	103.1	230.0	224.5	67.8	71.3	75.8	80.0	84.0	88.2
Total expenditure and net lending	704.5	709.1	920.7	947.2	1,057.6	981.0	1,032.5	1,075.2	1,174.4	1,231.4	1,299.1
Current expenditure	617.7	623.4	650.8	686.8	717.4	728.5	777.7	812.3	872.9	923.2	980.0
Wages and salaries	251.6	253.3	261.6	291.7	263.5	311.4	321.3	327.6	362.1	384.6	408.4
NIS contributions	18.9	13.4	14.8	16.0	16.2	17.3	18.5	19.5	20.6	21.6	22.7
Goods and services	130.7	132.8	132.9	154.0	128.0	138.4	147.7	156.0	164.6	172.9	181.5
Transfers	153.3	163.3	185.6	171.0	256.1	209.7	229.4	248.1	268.0	287.9	313.7
Interest payments	63.2	60.6	55.9	54.2	53.7	51.7	60.7	61.1	57.7	56.2	53.6
Capital expenditure and net lending	86.8	85.7	269.9	260.4	340.2	252.6	254.8	262.9	301.5	308.2	319.2
Grant-financed	74.9	75.7	84.8	182.9	170.2	67.8	71.3	75.8	78.2	82.1	86.2
Non-grant financed	11.9	10.0	185.1	77.5	170.0	184.8	183.5	187.1	223.3	226.1	232.9
Primary balance	207.8	223.5	-72.1	64.1	84.5	124.6	132.0	138.9	67.5	55.1	43.1
Overall balance	144.5	162.8	-128.0	9.9	30.8	72.9	71.3	77.9	9.8	-1.1	-10.5
Public Debt 2/	2,016	1,918	2,012	2,119	2,087	2,115	2,153	2,146	2,137	2,129	2,139
<i>Memorandum items:</i>											
Nominal GDP (millions of EC\$)	3,150	3,276	2,817	2,985	3,232	3,460	3,693	3,900	4,115	4,321	4,538

Sources: Ministry of Finance and IMF staff estimates.

1/ Nonrefundable contributions under the Citizenship-by-Investment (CBI) program that were used to finance investment projects are recorded under grants before 2023 but recorded under non-tax revenue starting 2023.

2/ Includes the impact of the debt restructuring agreement for the 2025 bonds.

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Table 3b. Grenada: Operations of the Central Government, 2018–28
(In Percent of GDP)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
					Est.			Proj.			
Total revenue and grants	27.0	26.6	28.1	32.1	33.7	30.5	29.9	29.6	28.8	28.5	28.4
Revenue	24.0	23.8	24.5	24.4	26.7	28.5	28.0	27.6	26.8	26.5	26.5
Tax revenue	22.3	21.9	22.1	21.0	22.1	22.4	22.0	21.9	22.0	22.1	22.1
Taxes on income and profits	4.9	4.6	4.8	4.1	4.3	4.0	4.0	4.0	4.1	4.2	4.2
Taxes on property	0.9	1.2	1.2	1.0	0.8	0.9	0.9	0.9	0.9	1.0	1.0
Taxes on goods and services	8.8	8.6	8.6	8.4	9.9	9.4	9.1	9.2	9.2	9.1	9.1
Taxes on international trade	7.7	7.5	7.5	7.5	7.1	8.1	8.0	7.8	7.8	7.8	7.7
Nontax revenue 1/	1.6	1.8	2.4	3.4	4.6	6.1	5.9	5.7	4.9	4.5	4.4
Grants 1/	3.0	2.9	3.7	7.7	6.9	2.0	1.9	1.9	1.9	1.9	1.9
Total expenditure and net lending	22.4	21.6	32.7	31.7	32.7	28.4	28.0	27.6	28.5	28.5	28.6
Current expenditure	19.6	19.0	23.1	23.0	22.2	21.1	21.1	20.8	21.2	21.4	21.6
Wages and salaries	8.0	7.7	9.3	9.8	8.2	9.0	8.7	8.4	8.8	8.9	9.0
NIS contributions	0.6	0.4	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Goods and services	4.1	4.1	4.7	5.2	4.0	4.0	4.0	4.0	4.0	4.0	4.0
Transfers	4.9	5.0	6.6	5.7	7.9	6.1	6.2	6.4	6.5	6.7	6.9
Interest payments	2.0	1.9	2.0	1.8	1.7	1.5	1.6	1.6	1.4	1.3	1.2
Capital expenditure and net lending	2.8	2.6	9.6	8.7	10.5	7.3	6.9	6.7	7.3	7.1	7.0
Grant-financed	2.4	2.3	3.0	6.1	5.3	2.0	1.9	1.9	1.9	1.9	1.9
Non-grant financed	0.4	0.3	6.6	2.6	5.3	5.3	5.0	4.8	5.4	5.2	5.1
Primary balance	6.6	6.8	-2.6	2.1	2.6	3.6	3.6	3.6	1.6	1.3	1.0
Overall balance	4.6	5.0	-4.5	0.3	1.0	2.1	1.9	2.0	0.2	0.0	-0.2
Public Debt 2/	64.0	58.5	71.4	71.0	64.6	61.1	58.3	55.0	51.9	49.3	47.1
<i>Memorandum items:</i>											
Nominal GDP (millions of EC\$)	3,150	3,276	2,817	2,985	3,232	3,460	3,693	3,900	4,115	4,321	4,538

Sources: Ministry of Finance and IMF staff estimates.

1/ Nonrefundable contributions under the Citizenship-by-Investment (CBI) program that were used to finance investment projects are recorded under grants before 2023 but recorded under non-tax revenue starting 2023.

2/ Includes the impact of the debt restructuring agreement for the 2025 bonds.

Table 4. Grenada: Summary Accounts of the Monetary Sector, 2018–28

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
					Est.			Proj.			
(In millions of EC dollars; end of period)											
Net foreign assets	1,315.0	1,400.2	1,720.7	1,919.1	2,212.0	2,322.9	2,451.0	2,510.3	2,577.3	2,636.5	2,727.2
ECCB	623.2	632.1	785.5	875.3	952.0	1,038.4	1,114.0	1,119.4	1,141.0	1,161.3	1,219.5
Commercial banks (net)	691.8	768.1	935.2	1,043.8	1,260.0	1,284.5	1,337.0	1,390.9	1,436.3	1,475.3	1,507.7
Assets	1,246.7	1,273.6	1,302.4	1,492.4	1,815.0	1,761.5	1,785.9	1,828.4	1,877.2	1,930.1	1,959.4
Liabilities	555.0	505.5	367.2	448.5	555.0	477.0	448.9	437.4	440.9	454.8	451.7
Net domestic assets	1,053.9	1,036.8	938.1	965.5	958.0	1,029.1	1,046.0	1,100.4	1,149.6	1,194.1	1,211.8
Public sector credit (net)	-500.2	-552.1	-430.6	-389.5	-311.0	-396.5	-358.7	-331.4	-304.3	-309.1	-313.0
Central government	-201.3	-222.6	-219.6	-308.2	-249.0	-316.6	-310.4	-324.8	-333.4	-348.9	-359.5
ECCB	-109.7	-110.7	-36.7	-93.8	-42.0	-51.6	-51.2	-53.7	-55.0	-57.1	-58.4
Commercial banks	-91.6	-111.9	-183.0	-214.3	-207.0	-265.0	-259.2	-271.2	-278.3	-291.8	-301.1
Net credit to rest of public sector	-298.9	-329.5	-211.0	-81.3	-62.0	-79.9	-48.3	-6.6	29.1	39.8	46.5
National Insurance Scheme	-106.7	-111.4	-116.6	-122.3	-128.3	-134.5	-141.0	-147.9	-155.1	-162.7	-170.6
Credit to private sector	1,602.0	1,624.1	1,674.5	1,738.2	1,775.0	1,867.2	1,956.1	2,047.0	2,133.1	2,214.4	2,291.8
Other items (net)	-47.9	-35.2	-305.9	-383.1	-506.0	-441.6	-551.4	-615.3	-679.2	-711.2	-766.9
Broad money	2,368.9	2,437.0	2,658.8	2,884.7	3,170.0	3,352.0	3,497.0	3,610.7	3,726.9	3,830.6	3,939.0
Money	702.3	762.9	825.3	1,026.0	1,436.0	1,401.8	1,509.1	1,632.0	1,761.9	1,880.5	1,981.2
Currency in circulation	143.9	138.6	160.8	188.1	207.0	202.1	217.5	235.3	254.0	271.1	285.6
Cash in commercial banks	558.4	624.3	664.5	837.9	1,230.0	1,199.8	1,291.6	1,396.7	1,507.9	1,609.4	1,695.6
Quasi-money	1,666.6	1,674.1	1,833.5	1,858.6	1,734.0	1,950.2	1,987.8	1,978.7	1,965.0	1,950.1	1,957.8
Time deposits	191.0	170.1	171.2	162.4	137.0	154.1	157.1	156.3	155.2	154.1	154.7
Savings deposits	1,265.3	1,297.3	1,371.0	1,378.1	1,169.0	1,314.8	1,340.1	1,334.0	1,324.7	1,314.7	1,319.9
Foreign currency deposits	210.3	206.8	291.2	318.1	428.0	481.4	490.7	488.4	485.0	481.3	483.2
(Annual percentage change, unless otherwise specified)											
Net foreign assets	24.8	6.5	22.9	11.5	15.3	5.0	5.5	2.4	2.7	2.3	3.4
Net domestic assets	-10.9	-1.6	-9.5	2.9	-0.8	7.4	1.6	5.2	4.5	3.9	1.5
Public sector credit, net	42.2	10.4	-22.0	-9.5	-20.2	27.5	-9.5	-7.6	-8.2	1.6	1.3
Credit to private sector	2.8	1.4	3.1	3.8	2.1	5.2	4.8	4.6	4.2	3.8	3.5
Broad money	5.9	2.9	9.1	8.5	9.9	5.7	4.3	3.3	3.2	2.8	2.8
NFA contribution	11.7	3.6	13.2	7.5	10.2	3.5	3.8	1.7	1.9	1.6	2.4
NDA contribution	-5.8	-0.7	-4.1	1.0	-0.3	2.2	0.5	1.6	1.4	1.2	0.5
Money	12.4	8.6	8.2	24.3	40.0	-2.4	7.7	8.1	8.0	6.7	5.4
Quasi-money	3.4	0.5	9.5	1.4	-6.7	12.5	1.9	-0.5	-0.7	-0.8	0.4
(In percent of GDP, unless otherwise specified)											
Net foreign assets	41.8	42.7	61.1	64.3	68.4	67.1	66.4	64.4	62.6	61.0	60.1
Net domestic assets, o/w	33.5	31.6	33.3	32.3	29.6	29.7	28.3	28.2	27.9	27.6	26.7
Public sector credit, net	-15.9	-16.9	-15.3	-13.0	-9.6	-11.5	-9.7	-8.5	-7.4	-7.2	-6.9
Private sector credit, net	50.9	49.6	59.4	58.2	54.9	54.0	53.0	52.5	51.8	51.2	50.5
Broad money (M2)	75.2	74.4	94.4	96.6	98.1	96.9	94.7	92.6	90.6	88.6	86.8
Money	22.3	23.3	29.3	34.4	44.4	40.5	40.9	41.8	42.8	43.5	43.7
Quasi-money	52.9	51.1	65.1	62.3	53.6	56.4	53.8	50.7	47.8	45.1	43.1

Sources: Eastern Caribbean Central Bank; Ministry of Finance; and IMF staff estimates.

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Annex I. Implementation of Past Staff Advice

2022 Article IV Recommendations	Policy Actions
Growth Agenda	
Increase domestic value-added in the tourism sector.	Ongoing. The government has streamlined entry and exiting process and is working on product enhancement, including promoting sporting and sustainable tourism.
Accelerate the shift to renewable energy .	Ongoing. The authorities approved the National Energy Policy 2023–35 to guide the country's sustainable energy development and are in the process of initiating an exploratory geothermal drilling project.
Provide training programs and improve their effectiveness to address skills mismatch .	Ongoing. The government is transforming the IMANI program into full-fledged skills training and apprenticeship program. National Skills Development Program continues to help in developing skills in various areas and business support for youth entrepreneurs.
Implement Disaster Resilience Strategy .	Ongoing. The Disaster Risk Management Bill is approved by the parliament. CCRIF has been renewed.
Fiscal Policy	
Increase targeted transfer to cushion the impact of price increases. Allowing the pass-through of international food and energy costs to domestic prices. Sustain the higher level of social spending achieved during the pandemic.	Ongoing. A scaled-down package of relief measures was introduced in 2023. The higher level of social spending achieved during the pandemic was sustained in 2022. Temporary freight cap was rolled back as transportation disruptions eased.
Review the Fiscal Responsibility Act in the post-pandemic context, supported by IMF TA.	Ongoing. An IMF TA on amending the FRA was conducted in April. A revised FRA is expected approved by the cabinet and the parliament in the second half of 2023.
Mobilizing resources (enhance compliance, reduce tax arrears, boost digitalization, and increase the equity of the tax system).	Ongoing. The authorities have strengthened the large and medium taxpayer program through better intelligence, expanded capacity to analyze risk and anomalies, and timely reviewed arrears and followed up with non-compliance, supported by legal action if necessary.
Improve public investment management ; systematically identify resilience investment that could be financed through donor grant and concessional funding.	Ongoing. The 2023 budget included the first Climate Budget Tagging pilot exercise (with WB support) to categorize, measure, and monitor climate-relevant public policies.
Expedite the publication of audited financial statements . Publish SOE financial performance .	Ongoing. Audited financial statements of the government for 2017–22 and SOE financial performance reports are pending.

2022 Article IV Recommendations	Policy Actions
A comprehensive reform to the National Insurance Scheme (NIS) . Develop a contingency plan to address the outcomes of the court ruling on public pension claims .	Ongoing. The retroactive payment of the public pension liabilities was made in November 2022. A Pension Reform Committee was set up for assessing reform options. Phased-in increases in the pensionable age and contribution under the NIS were announced.
Financial Sector	
Strengthen the oversight of credit unions .	Mixed. GARFIN is improving the risk-based supervisory framework and its implementation, with CARTAC support. The development of a national crisis management plan is delayed.
Ensure compliance with AML/CFT regulations.	Ongoing. AML/CFT regulations are being enhanced to minimize risks to the CBI program. The Financial Intelligence Unit has continued to strengthen monitoring.

Annex II. External Sector Assessment

Overall Assessment: Grenada's external position in 2022 was preliminarily assessed as weaker than the level consistent with medium-term fundamentals and desirable policies. The increase in import values was only partially compensated for by the tourism rebound, leading to a widening of the current account deficit.

Potential Policy Responses: It is important to return to the fiscal rules to restore buffers. Protecting the most vulnerable from the burden of higher inflation should focus on improving efficiency and targeting of social protection programs. External rebalancing can be supported by structural reforms to unleash growth potential and enhance competitiveness, such as increasing value added of tourism, improving gender equality, addressing skills mismatch, accelerating renewable energy, and building resilience.

Foreign Assets and Liabilities: Position and Trajectory

Background. The net international investment position (IIP) deficit, which averaged about -126 percent during 2015–19, edged down from -154.6 percent of GDP in 2021 to -151.5 percent of GDP in 2022.¹ In 2022, most assets were held in the form of currency and deposits (22 percent of total assets) or portfolio investment (33 percent of total assets). Reserve assets constitute 27 percent of total assets. On the liability side, FDI (167 percent of GDP) and other investment (85 percent of GDP, mostly loans) were the largest liabilities (jointly accounting for 96 percent of total liabilities). Long-term general government loans constitute nearly half of other investment.

Assessment. The level of the NIIP in 2022 does not constitute a significant concern for external debt sustainability. The projected narrowing of the current account deficit will help improve the NIIP in the medium term. The large share of FDI and general government loans in total liabilities mitigates potential risks and is expected to persist.

2022 (% GDP)	NIIP: -151.5	Gross Assets: 111.1	Debt Assets: 80.7	Gross Liabilities: 262.6	Debt Liabilities: 85.2
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Current Account

Background. The current account deficit, which averaged around 10.8 percent of GDP during 2015–19, is estimated to have increased to 17.3 percent of GDP in 2022 from 13.2 percent of GDP in 2021.² The main driver was an increase in imports of 9 percentage points of GDP, driven by higher international prices (particularly food and fuel) and import volumes (along with the demand recovery and large public investment), that was only partially offset by higher tourism receipts.

¹ Based on preliminary estimates by the ECCB that revised NIIP in 2021 from -172 percent of GDP to -154.6 percent of GDP.

² The 2021 current account deficit was revised downwards due to corrected personal services credits—which includes online educational services—(from 7 percent of GDP to 18 percent of GDP) and financial services debits (from 3.7 percent of GDP to 0.6 percent of GDP).

Assessment. The external position in 2022 was weaker than the level consistent with medium-term fundamentals and desirable policies. The deterioration of the current account balance in Grenada is mainly explained by the impact of COVID on tourism and higher import bills.³ There were no exchange rate movements or significant changes in the structural fundamentals. As the economic recovery takes hold, the external position is expected to improve in line with the continued recovery of tourism, improvement in terms of trade, and, in the medium term, increased competitiveness yielded from structural reforms.

EBA-lite Model Results, 2022

	CA model 1/	REER model 1/
	(in percent of GDP)	
CA-Actual	-17.3	
Cyclical contributions (from model) (-)	0.5	
COVID-19 adjusters (-) 2/	-3.5	
Additional temporary/statistical factors (-)	0.0	
Natural disasters and conflicts (-)	-0.5	
Adjusted CA	-13.8	
CA Norm (from model) 3/	-10.3	
Adjustments to the norm (-)	0.0	
Adjusted CA Norm	-10.3	
CA Gap	-3.4	7.5
o/w Relative policy gap	2.4	
Elasticity	-0.4	
REER Gap (in percent)	8.8	-19.0

1/ Based on the EBA-lite 3.0 methodology

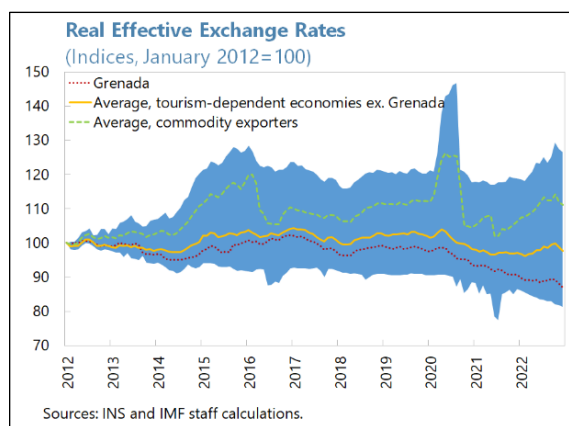
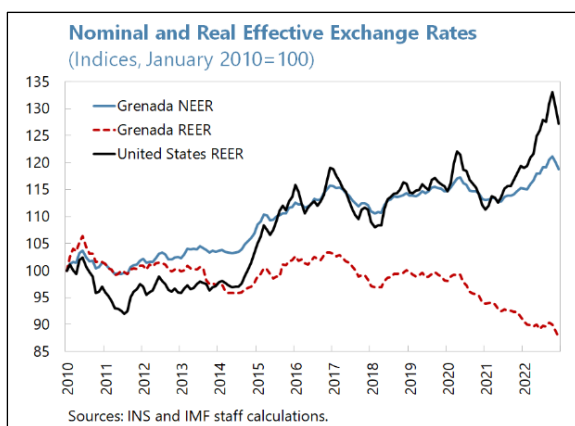
2/ Additional cyclical adjustment to account for the temporary impact of the pandemic on tourism (3.5 percent of GDP).

3/ Cyclically adjusted, including multilateral consistency adjustments.

Real Exchange Rate

Background. In 2022, the real effective exchange rate (REER) depreciated by 3.5 percent, continuing the trend since 2019.⁴ The decline in the REER was driven by significant inflation differentials with Grenada's main trading partners, as the NEER appreciated by 3.9 percent.

Assessment. The REER gap was 8.8 percent, derived from the EBA-Lite CA model with an elasticity of -0.4. Results of EBA-Lite REER model point to a gap of -19 percent.



³ The ESA model includes a Covid-19 cyclical adjuster to account for the temporary impact of the pandemic on a country's external position. In the case of Grenada, only the Covid-19 adjuster for tourism was used, yielding a total adjustment of 3.5 percent of GDP.

⁴ The Eastern Caribbean dollar, the currency of Grenada, is pegged to the U.S. dollar.

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Capital and Financial Accounts: Flows and Policy Measures

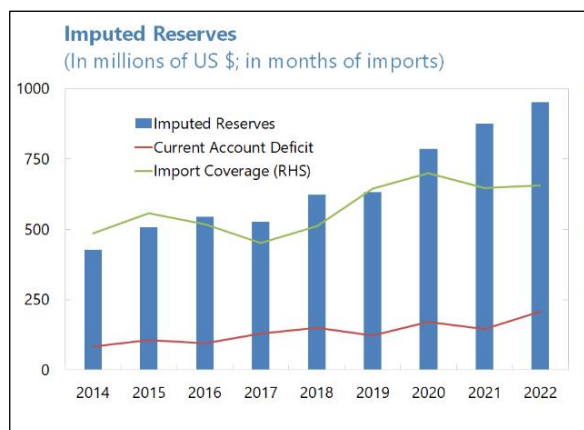
Background. Grenada relies on FDI (averaged 14 percent of GDP between 2017 and 2021) to finance the saving-investment imbalance. FDI is primarily accounted for by equity investment, which has been volatile and averaged about 85 percent of FDI inflows since 2015 (with the remainder by land sales). Citizenship-by-Investment (CBI) revenues have averaged about 5 percent of GDP since the launch of the program in 2014. In 2022, FDI rose to 14.1 percent of GDP, in part due to an increase in CBI investment, but is expected to moderate in 2023. The government's concessional loans have been a stable source for the financing of the country's development.

Assessment. FDI is projected to remain stable (averaging 12.3 percent over the medium term), while the CBI inflows could prove volatile. To the extent that the CBI inflows are mostly to finance investment (which has a large import component), the impact of declines in CBI on the current account would be partially mitigated by resulting lower imports. Key downside risks include continued tightening of global financial conditions (which could reduce liquidity and drive savings out of the region in search for yield) and natural disasters (which could deter private capital inflows). On the upside, a faster implementation of structural reforms to improve business environment and competitiveness will help attract higher FDI.

FX Intervention and Reserves Level

Background. Grenada's reserve position improved in 2022. As a member of the Eastern Caribbean Currency Union, Grenada is under a quasi-currency board arrangement. Foreign assets and liabilities of the Eastern Caribbean Central Bank (ECCB) cannot be directly assigned to an individual country. Therefore, the imputed reserves method is used as a proxy for net foreign assets held at the ECCB.^{5,6} Estimated imputed reserves increased by 9 percent from 2021 to 2022. Imputed reserves covered 5 months of imports and 30 percent of broad money, unchanged from 2021.

Assessment. Imputed reserves exceed the typical benchmark of three months of imports and are above the 20 percent of broad money benchmark.⁶ In 2021, with general SDR allocation (which has been kept in reserves), Grenada received 16.4 million SDRs (about US\$22.8 million).



⁵ According to the ECCB by-laws, the imputed reserves of each ECCB member are calculated as the difference between the member's reserve money and net domestic assets. The ECCB has the mandate to maintain a foreign exchange cover of 60 percent of total demand liabilities.

⁶ IMF 2015, *Assessing Reserve Adequacy—Specific Proposals*. Reserve adequacy assessments for currency unions should consider the reserve needs of the consolidated union level. This should be supplemented by a discussion of factors that have a bearing on the size of reserves, such as the union's financial architecture and supportive institutions, and the correlation of shocks faced by union members.

Annex III. Risk Assessment Matrix¹

Risks	Relative Likelihood	Impact and Channel	Policy Response
Conjunctural Risks			
Intensification of regional conflict(s). Escalation of Russia's war in Ukraine or other regional conflicts and resulting economic sanctions disrupt trade (e.g., energy, food, tourism, and/or critical supply chain components), remittances, refugee flows, FDI and financial flows, and payment systems.	High	Medium. ST/MT. Sticky inflation, eroding income, and dampening demand.	Provide targeted transfers to the vulnerable. Increase value-added of the tourism. Vigilantly monitor the financial sector development in coordination with ECCB.
Abrupt global slowdown or recession. Global and idiosyncratic risk factors combine to cause a synchronized sharp growth downturn, with recessions in some countries, adverse spillovers through trade and financial channels, and markets fragmentation.	Medium	High. ST/MT. Slower economic recovery, worsening fiscal and external positions.	Accelerate structural reforms to improve competitiveness. Increase value-added of the tourism. Vigilantly monitor the financial sector development in coordination with ECCB.
Commodity price volatility. A succession of supply disruptions (e.g., due to conflicts and export restrictions) and demand fluctuations (e.g., reflecting China reopening) causes recurrent commodity price volatility, external and fiscal pressures, and social and economic instability.	Medium	Medium. ST/MT. Eroding income, dampening demand, and widening fiscal and trade deficits.	Provide targeted support to the vulnerable. Accelerate shift to renewables and improve the pass-through of price signals.
Systemic financial instability. Sharp swings in real interest rates, risk premia, and assets repricing amid economic slowdowns and policy shifts trigger insolvencies in countries with weak banks or non-bank financial institutions, causing markets dislocations and adverse cross-border spillovers.	Medium	Medium. ST/MT. Tighter domestic financial conditions.	Intensify monitoring of asset quality, ensure adequate loan loss provisioning, conduct regular stress testing. Vigilantly monitor the financial sector development in coordination with ECCB.
Structural Risks			
Deepening geo-economic fragmentation. Broader and deeper conflict(s) and weakened international cooperation lead to a more rapid reconfiguration of trade and FDI, supply disruptions, technological and payments systems fragmentation, rising input costs, financial instability, a fracturing of international monetary and financial systems, and lower potential growth.	High	Medium. ST/MT. Higher inflation, lower FDI, and more volatile CBI revenues.	Accelerate structural reforms to improve competitiveness. Gradually reduce reliance on CBI for capital expenditures. Enhance international and regional cooperation to support growth and cross-border collaboration.
Extreme climate events. Extreme climate events cause more severe than expected damage to infrastructure (especially in smaller vulnerable economies) and loss of human lives and livelihoods, amplifying supply chain disruptions and inflationary pressures, causing water and food shortages, and reducing growth.	Medium	High. ST/MT. Reduce capital stock, create scarring effects, and discourage FDI.	Continue implementing the Disaster Resilience Strategy, improve infrastructure, build more financial buffers, enhance post-disaster response, and accelerate shift to renewables.
Cyberthreats. Cyberattacks on critical domestic and/or international physical or digital infrastructure (including digital currency and crypto ecosystems) trigger financial and economic instability.	Medium	Low. ST/MT. Payment and financial system is disrupted.	Enhance digital security in public and private platforms, raise the public awareness, and prepare a contingency plan.

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path. The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly.

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Domestic Risks			
CBI revenues decline due to lower attractiveness of the programs.	Medium	Medium. ST/MT. Weaker public investment and growth.	Continue improving the AML/CFT framework and its implementation. Communicate closely with EU and US regulators regarding CBI regulations.
Persistently high NPLs of credit unions impair credit intermediation and dampen growth.	Medium	Medium. ST/MT. Weaker growth and lower financial inclusiveness.	Accelerate reforms to resolve NPLs and improve credit access of households and firms.



Appendix I. Draft Press Release

IMF Executive Board Concludes 2023 Article IV Consultation with Grenada

FOR IMMEDIATE RELEASE

Washington, DC – [July XX, 2023]: On [July 17], 2023, the Executive Board of the International Monetary Fund (IMF) concluded the 2023 Article IV consultation¹ with Grenada, and considered and endorsed the staff appraisal without a meeting.²

Grenada' tourism-dependent economy continued to recover from the pandemic amidst rising energy and food prices. Growth is estimated to have reached 6.4 percent in 2022, driven by a tourism rebound and construction activity. Inflation rose moderately to 2.9 percent by end-2022, as the authorities' policy response dampened the pass through from rising global food and fuel prices. Public debt is now back on a downward trend. The financial sector is well-capitalized and liquid although non-performing loans (NPLs) of credit unions have risen.

Economic growth is expected to continue in 2023, although at a slower pace of 3.9 percent, led by activity in tourism-related sectors. Inflation is expected to peak at 3.2 percent toward the end of this year. An economic slowdown of key tourist source markets, renewed increases in food and fuel prices, a natural disaster, or an abrupt decline in revenues from the Citizenship-by-Investment (CBI) program could weaken growth, worsen the fiscal position, and threaten debt sustainability. On the upside, shifting demand for services in advanced economies could make for even stronger tourism demand and investment projects may prove to have a more front-loaded impact on the economy.

The government is committed to a return to the fiscal rules in 2023, after triggering the escape clause in 2020–22 to address the fallout of the pandemic. It planned to amend the Fiscal Responsibility Law this year to best support the country's sustainable development. The government is seeking international support to facilitate the implementation of its Disaster Resilience Strategy and a transition towards renewable energy, critical for enhancing resilience to natural disasters and economic competitiveness.

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

² The Executive Board takes decisions under its lapse-of-time procedure when the Board agrees that a proposal can be considered without convening formal discussions.

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Executive Board Assessment

Fiscal buffers built up over the past decade have allowed the authorities to respond swiftly both to the pandemic and to higher energy and food prices. The government's relief measures in 2022 helped protect the population from rising global food and fuel prices. However, more could have been done to target this support and preserve fiscal resources.

The economic recovery is taking hold, but important near-term downside risks remain. Real GDP is projected to expand by 3.9 percent in 2023. An economic slowdown of key tourist source markets, renewed increases in food and fuel prices, a natural disaster, or an abrupt decline in revenues from the CBI program could weaken growth, worsen the fiscal position, and threaten debt sustainability. On the upside, shifting demand for services in advanced economies could make for even stronger tourism demand and investment projects may prove to have a more front-loaded impact on the economy.

The external position is assessed to be weaker than the level implied by fundamentals and desirable policies. Estimated imputed reserves are assessed as adequate.

Public debt is now back to a downward path and debt is assessed to be sustainable. However, Grenada is found to remain "in debt distress" due to its outstanding arrears of about US\$37.6 million to official bilateral creditors, including Trinidad and Tobago and Algeria.

The immediate policy priority is to return to the fiscal rules to preserve credibility. Spending on relief measures should decline as the initial food and fuel price spike dissipates. The focus should be on structurally improving the effectiveness and targeting of social assistance programs (including through improvements in the determination of eligibility) and moving away from broad-based support.

The planned amendment of the Fiscal Responsibility Framework should be used to simplify the fiscal rules, institute a more effective medium-term fiscal framework, and enhance accountability and oversight. Maintaining the framework's current focus on debt reduction will continue to underpin debt sustainability. There is also a need for greater clarity on how fast debt should return to its medium-term path following a shock. A fully operationalized contingency fund will help smooth government expenditure and provide insurance for major shocks. Transparency should be enhanced by publishing public sector and SOE audited financial statements and improving data on CBI flows and their usage.

To make space for critical spending will require increasing the efficiency of both the tax system and public spending. The tax incentive framework should be updated based on a reassessment of the rationales, costs, and benefits of various incentives. Public investment management should be strengthened to address major bottlenecks in project implementation, improve project oversight, and strengthen the transparency and accountability of the procurement process.

The sustainability of public finances should be improved. Reforms to the National Insurance Scheme (NIS) through a phased increase in the contributory rate and pensionable age will help improve the

financial position of the NIS and should be quickly implemented. The new pension system for new entrants to public service should be designed to be actuarially sound. The ongoing regularization of public sector workers should be guided by a thorough review of job functions that assesses the allocation of resources and help retrain public sector workers. A comprehensive wage review and payroll audits are needed to ensure the wage grid reflects the current labor market conditions.

The financial sector is stable, liquid, and resilient to shocks amid tightening global financial conditions, but NPLs at credit unions are at elevated levels. Lending standards and provisioning requirements should be tightened for credit unions while continuing to enforce corrective actions for those institutions that do not meet prudential requirements. Credit unions should strengthen their own debt collection efforts and bolster their internal governance and risk management practices. Achieving an effective risk-based and forward-looking supervisory approach will require more granular information, better analytical capacity, and well-designed stress testing. The authorities should find ways to improve financial literacy and should encourage financial institutions to leverage the ECCU regional credit bureau when it comes into operation.

To enhance competitiveness, Grenada should increase the domestic value-added of tourism, promote gender equality, and improve labor skills. Strengthening linkages with agriculture and fisheries will help increase the domestic value-added of tourism. Measures to boost agricultural productivity and build resilience to adverse weather events will be critical to securing future production. Policy efforts are needed to address identified gender gaps and incentivize female labor force participation. Training and apprenticeship programs should focus on increasing technical and entrepreneurial skills, better integrating academic institutions and employers, and facilitating the transition to employment.

Building resilience requires the government's resolute implementation of its Disaster Resilience Strategy and an expeditious transition to renewable energy. Continued improvement in the regulatory framework can help incentivize the adoption of renewable energy. Concessional financing from multilaterals and climate funds can help catalyze private financing for investments in renewables and climate adaptation. Communication about the environmental impact of renewable energy projects would help foster public support and incentivize private financing of such projects.

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Grenada: Selected Social and Economic Indicators, 2020–28

Rank in UNDP Human Development Index out of 189 countries (2021)	68	Infant mortality rate per '000 births (2021)		14.4					
Life expectancy at birth in years (2021)	75	Adult illiteracy rate in percent (2014)		1					
GDP per capita in US\$ (2021)	9,010	Poverty rate in percent of population (2019)		25					
Population in millions (2021)	0.12	Unemployment rate (2021 Q2)		16.6					
	2020	2021	2022	2023	2024	2025	2026	2027	2028
			Est.			Proj.			
(Annual percentage change, unless otherwise specified)									
National income and prices									
GDP at constant prices	-13.8	4.7	6.4	3.9	3.8	3.5	3.2	2.7	2.7
GDP deflator	-0.3	1.2	1.8	3.0	2.8	2.0	2.2	2.2	2.2
Consumer prices, end of period	-0.8	1.9	2.9	3.2	2.8	2.0	2.0	2.0	2.0
Money and credit, end of period									
Credit to private sector	3.1	3.8	2.1	5.2	4.8	4.6	4.2	3.8	3.5
Broad money (M2)	9.1	8.5	9.9	5.7	4.3	3.3	3.2	2.8	2.8
(In percent of GDP, unless otherwise specified)									
Central government balances (accrual)									
Revenue and grants	28.1	32.1	33.7	30.5	29.9	29.6	28.8	28.5	28.4
Expenditure	32.7	31.7	32.7	28.4	28.0	27.6	28.5	28.5	28.6
o.w. Capital expenditure	9.6	8.7	10.5	7.3	6.9	6.7	7.3	7.1	7.0
Primary balance	-2.6	2.1	2.6	3.6	3.6	3.6	1.6	1.3	1.0
Overall balance	-4.5	0.3	1.0	2.1	1.9	2.0	0.2	0.0	-0.2
Public debt (incl. guaranteed) 1/									
Domestic	16.2	15.6	13.1	9.3	8.0	7.3	6.3	5.7	5.1
External	55.2	55.4	51.4	51.9	50.3	47.7	45.6	43.6	42.0
Savings-Investment balance									
Savings	15.2	15.4	14.4	10.7	12.4	13.7	14.7	15.5	16.2
Investment	31.6	28.7	31.7	25.5	25.6	25.9	27.0	27.3	27.7
External Sector									
Gross international reserves (millions of dollars)	290.9	324.2	352.6	384.6	412.6	414.6	422.6	430.1	451.7
(in months of imports)	5.6	5.2	5.2	5.5	5.8	5.6	5.5	5.4	5.5
Current account balance, o/w:	-16.4	-13.2	-17.3	-14.8	-13.2	-12.2	-12.3	-11.8	-11.5
Exports of goods and services	41.1	48.4	52.9	58.6	58.2	57.2	56.4	55.9	55.4
Imports of goods and services	52.2	56.3	62.8	63.3	61.2	59.1	58.3	57.3	56.6
External debt (gross)	92.9	95.5	92.7	88.2	83.6	79.5	76.0	72.8	70.2

Sources: Ministry of Finance; Eastern Caribbean Central Bank; United Nations, Human Development Report; World Bank WDI; and IMF staff estimates and projections.

1/ Includes the impact of the debt restructuring agreement for the 2025 bonds.